

March FOMC: In the Right Place for Now

Special Commentary

Economist(s)



[Tom Porcelli](#)



[Sarah House](#)



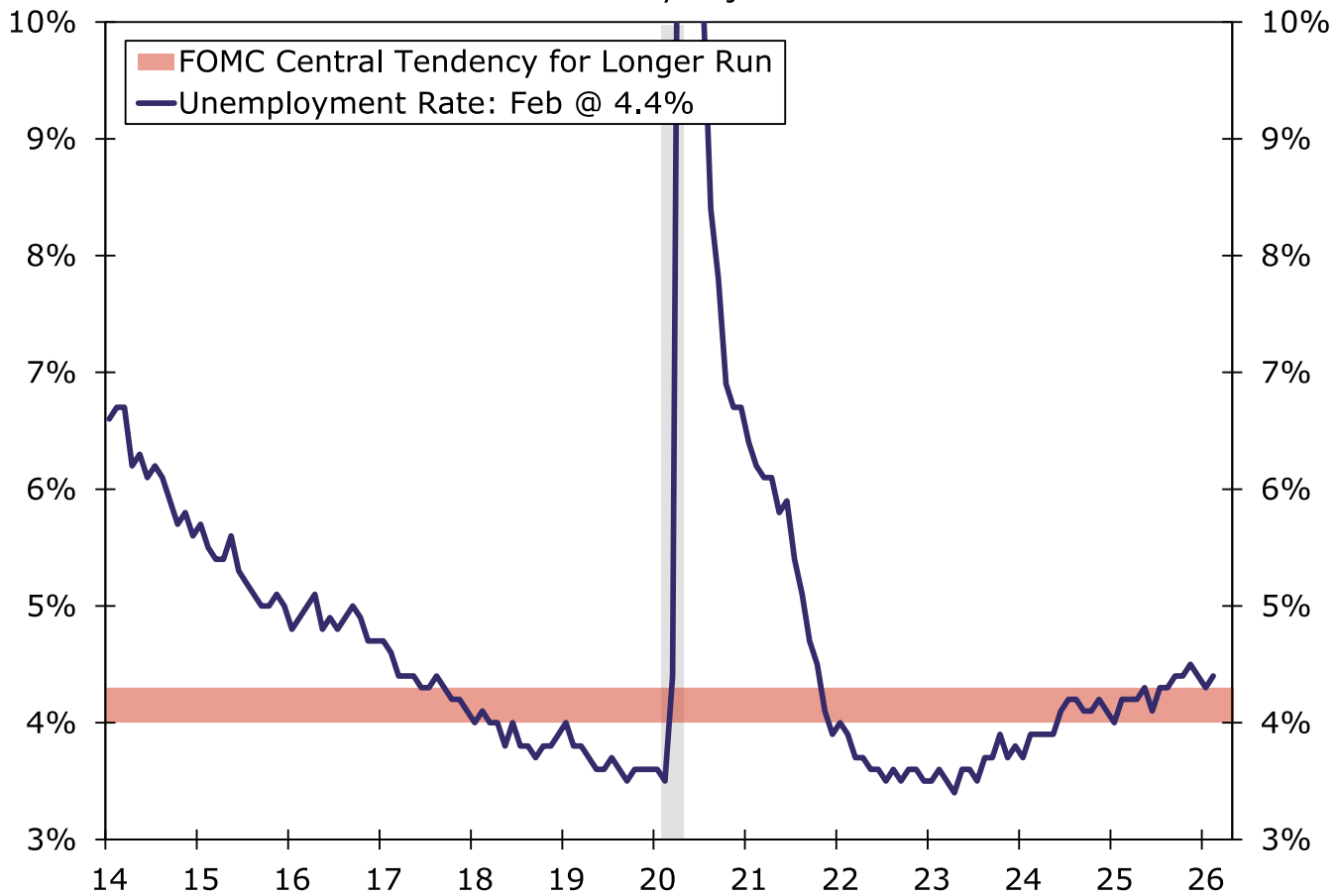
[Michael Pugliese](#)

- **Optionality maintained.** As expected, the FOMC left the fed funds rate unchanged at 3.50%-3.75% at its March meeting and was careful not to hint at the timing of future adjustments. The statement reaffirmed the FOMC's view of "solid" growth and inflation that "remains somewhat elevated," but signaled a little less confidence in the state of the labor market by noting that the unemployment rate "has been little changed" versus previously saying it has shown "some signs of stabilization."
- **Increased uncertainty was acknowledged head on in the statement and press conference.** There is no doubt in our minds that the spike in oil prices is inflationary over the near term, but this is a supply shock, which monetary policy is ill-equipped to solve. The Fed also has to grapple with the growth-sapping effects of higher oil prices that add a fresh challenge to the already-struggling labor market ([Figure 1](#)).
- **Participants seemed hesitant to incorporate looming stagflation risks into the SEP.** The median estimate for PCE inflation at year-end rose to 2.7% from 2.4% in December, less than what we were expecting with our own estimate tracking at 2.9%. The median core projection rose to 2.7%, perhaps reflecting some pass-through of higher energy costs, but more likely, in our view, stemming from the stubborn strength of recent readings that has left the index up 3.1% over the past year ([Figure 2](#)). Meantime, the median estimate for GDP this year was revised *up* a tenth and the median unemployment rate was unchanged. While this did not signal as much of a stagflationary shock as we expected, we note that participants flagged higher uncertainty around their estimates with risks skewed more toward higher inflation and unemployment than in the December SEP.
- **Wait-and-see mode kept the median view of rates this year unchanged.** The median estimate of the fed funds rate at year-end remained at 3.375%, implying one 25 bps cut in 2026, while the median dot for 2027 held at 3.125% ([Figure 3](#)). The continued bias toward easing reflects that most Fed officials still view policy as slightly restrictive, even as the median long-run estimate drifted up a tenth to 3.1%.
- **The Committee looks a little less divided.** No participants viewed a hike as appropriate this year, even as hawkish members have been voicing their concerns about inflation's prolonged overshoot from target these past five years. At the same time, Governor Waller voted in line with the Committee, making Governor Miran the lone dissenter. Yet even the lowest projection for the fed funds rate at year-end—presumably Governor Miran's—shifted up, and suggests less dispersion among members' view at present.
- **Two more cuts this year remain our base case.** We sympathize with the view that the labor market remains on a shaky footing. While the renewed inflation concerns generate risk to our call for the FOMC to cut again by June, we still look for two 25 bps cuts this year and acknowledge they just might end up coming a little later ([Figure 4](#)). The inflationary effects of higher oil prices become visible more quickly than does the damage they inflict on growth and the labor market. So long as long-term inflation expectations stay anchored, we believe the Fed could still move the fed funds rate further toward neutral in the second half of the year.
- **Reserve management purchases (RMPs) continue at their current \$40B monthly pace.** The Fed did not announce plans to reduce RMPs as we were expecting. Yet given the recent reduction in funding pressures, we suspect a slowdown to around a \$20-25B monthly pace has merely been delayed and is likely to be announced at the Fed's April meeting and begin mid-May.

Figure 1

U.S. Unemployment Rate

Seasonally Adjusted

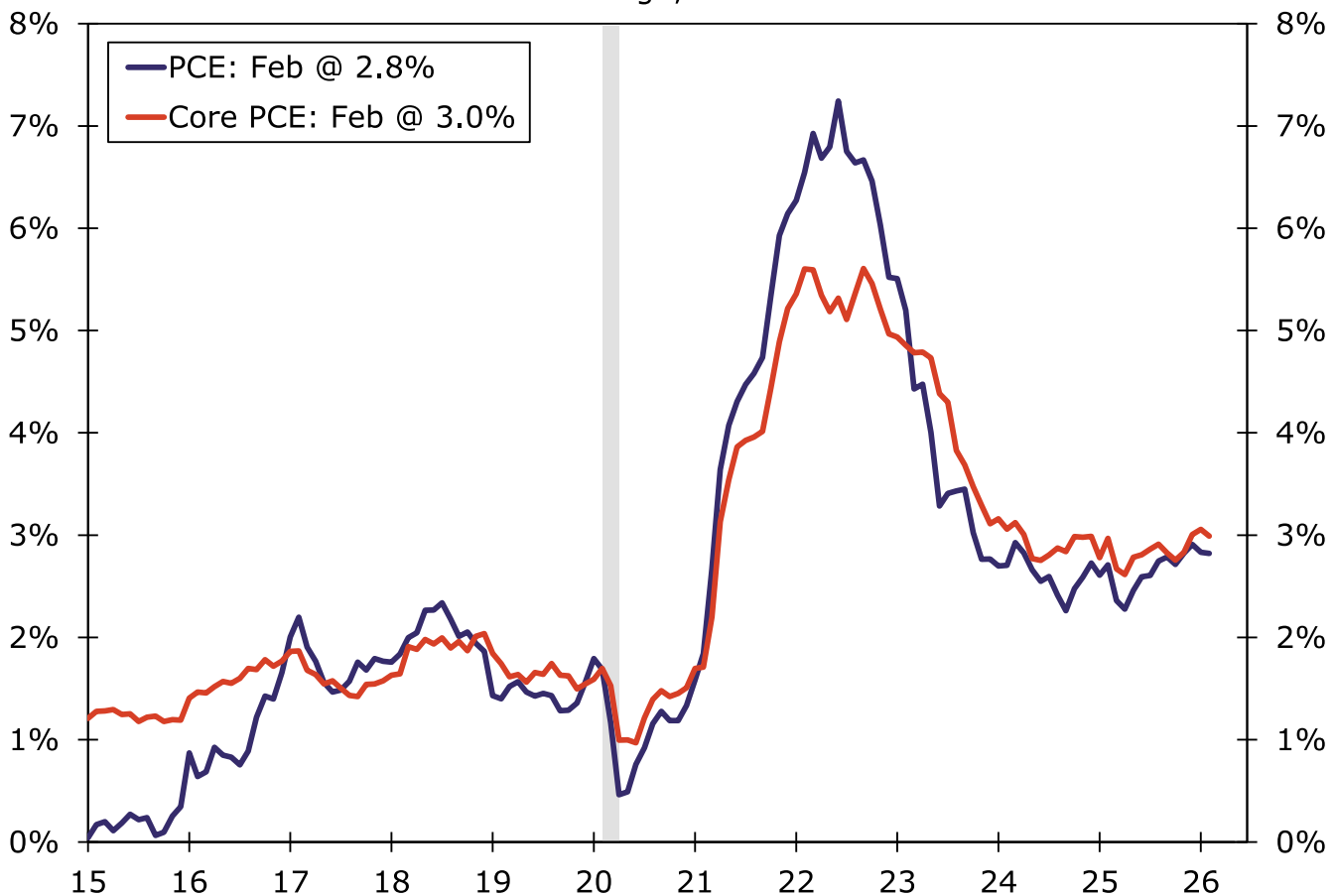


Source: U.S. Department of Labor and Wells Fargo Economics

Figure 2

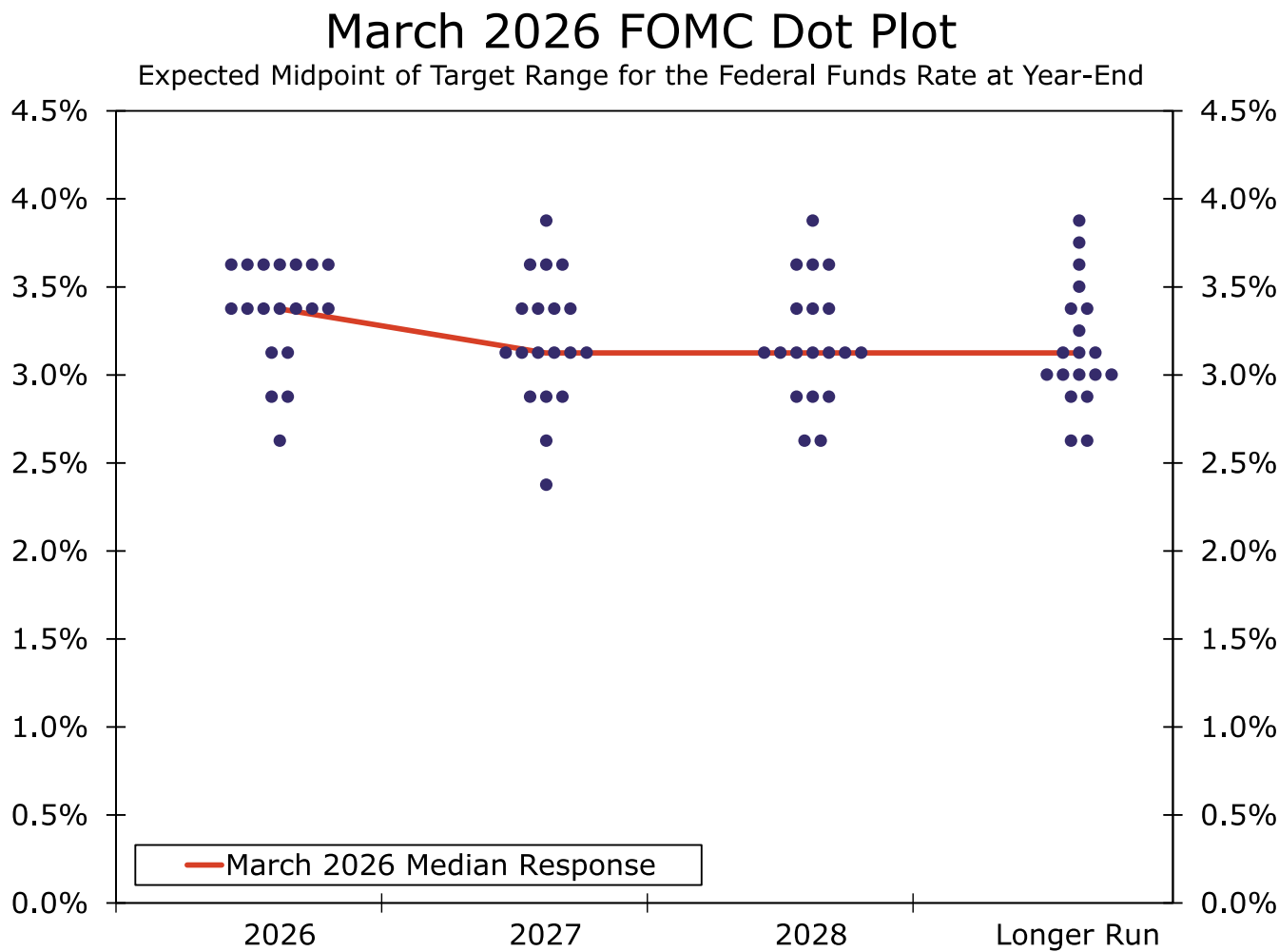
Inflation Still Stuck Around 3%

Year-over-Year Percent Change; WF Estimates for PCE in Feb



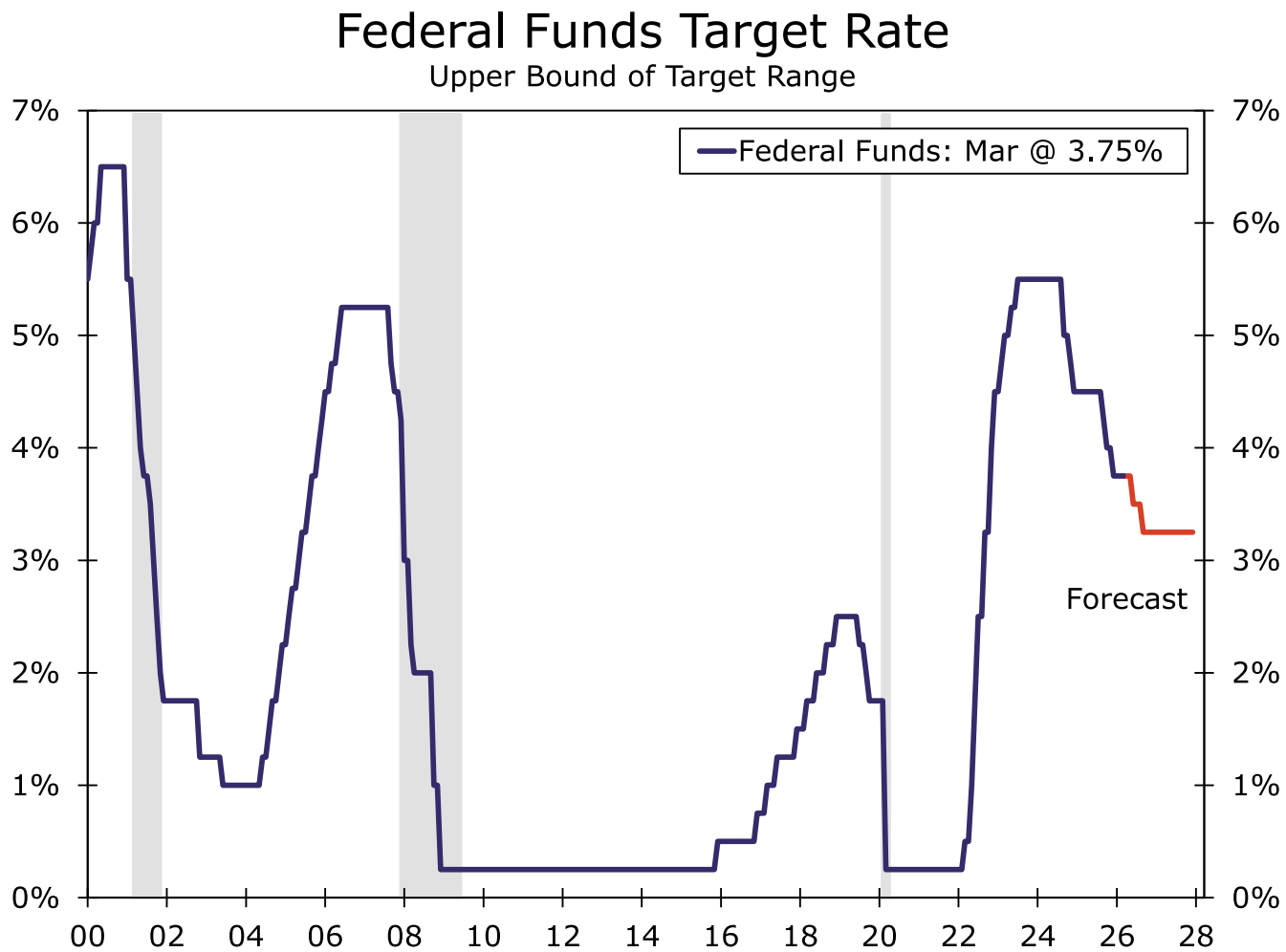
Source: U.S. Department of Commerce and Wells Fargo Economics

Figure 3



Source: Federal Reserve Board and Wells Fargo Economics

Figure 4



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FOMC Preview: Powell's Job Not Getting Any Easier

Special Commentary

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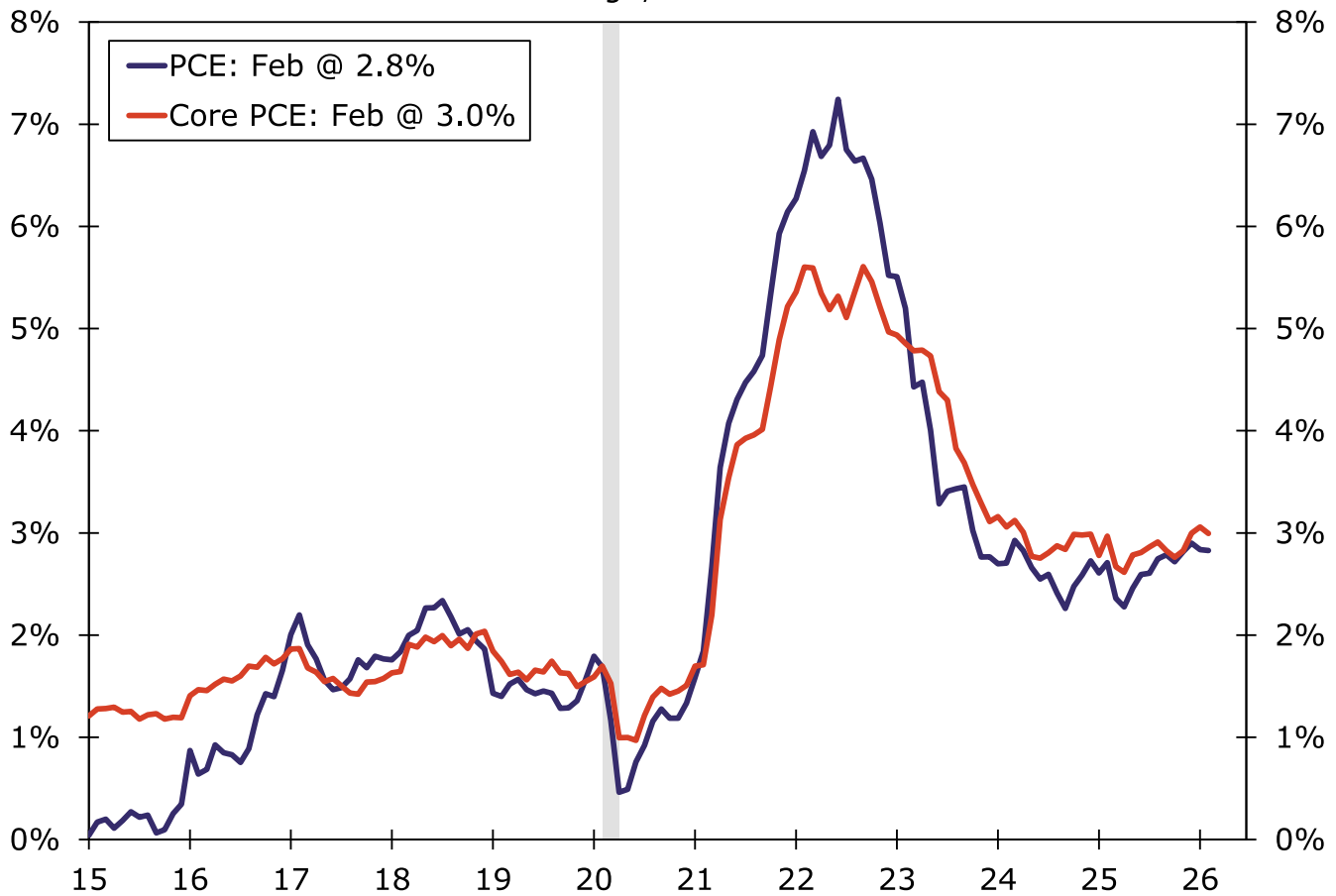


[Michael Pugliese](#)

- **Stagflation risks have risen since the FOMC last met in January.** Higher inflation and a weaker labor market is the FOMC's worst nightmare as it puts the dual mandate in tension. How will Chair Powell and company balance these risks?
- **We expect the FOMC to hold rates steady and maintain maximum flexibility.** It goes without saying the conflict in Iran has a highly uncertain outlook, with oil prices gyrating wildly in response to the uncertainty. Looking past the geopolitical whirlwind, key data from the monthly jobs report whipsawed over the inter-meeting period, with strong job gains and lower unemployment in January offset by a train wreck of a February jobs report. On net, labor market conditions appear little changed: lukewarm and still muddling along.
- **There has been no further progress toward 2% inflation over the inter-meeting period.** Recent data point to PCE inflation remaining stuck right around 3% ([chart](#)). The energy shock will strengthen headline inflation and have a small pass-through to core but also crimp economic growth.
- **Fed speak has been mixed.** Governors Miran and Waller are likely unconvinced that the labor market is stabilizing and probably want to "look through" the supply-side oil shock—a view for which we have plenty of sympathy. But, with inflation entering its sixth year and counting above 2%, there are signs some of the Committee's hawks are digging in amid yet another inflationary shock.
- **The post-meeting statement probably won't change dramatically.** We expect it to highlight additional uncertainty in the outlook due to the Iran conflict. We also would not be surprised if the language around "some signs of stabilization" in unemployment is tweaked to be a bit more pessimistic.
- **The SEP will shift in a stagflationary direction:** We expect the FOMC's inflation projections to be revised up, in part due to higher energy prices and in part due to recent strength in some core PCE components. The slightly stickier picture of inflation is likely to carry through to 2027 and keep the anticipated return to 2.0% two years away. GDP projections for 2026 are likely to be lower but still consistent with above-trend growth. Median estimates for the unemployment rate are likely to edge up as the low hire/low fire environment drags on. Our point estimates for the March SEP can be found in the [table](#) on the next page.
- **"First, do no harm" keeps median dots unchanged.** It would take two dots moving down to drop the 2026 median from 3.375% to 3.125% and three moving higher to shift the median projection up to 3.625%. With estimates for inflation drifting up but growth projections shifting down, we think the net impact will be no change to the median dots. From a balance of risks standpoint, our hearts lie with a downside surprise in the dots. Yet our heads think it will be very difficult for the dots to surprise in the dovish direction as inflation worries escalate, even if it is a supply shock that monetary policy is poorly equipped to solve. Our own forecast remains for two 25 bps rate cuts in June and September.
- **We expect the Fed to slow reserve management purchases to a \$20-\$25 billion/month pace.** This would be a slowdown from the current \$40 b/mo pace and has been well-telegraphed by Fed officials. The downshift is in response to funding markets returning to a more stable equilibrium ([chart](#)). Since the Fed has been buying exclusively Treasury bills, this should not have a material impact on longer-term interest rates.

Inflation Still Stuck Around 3%

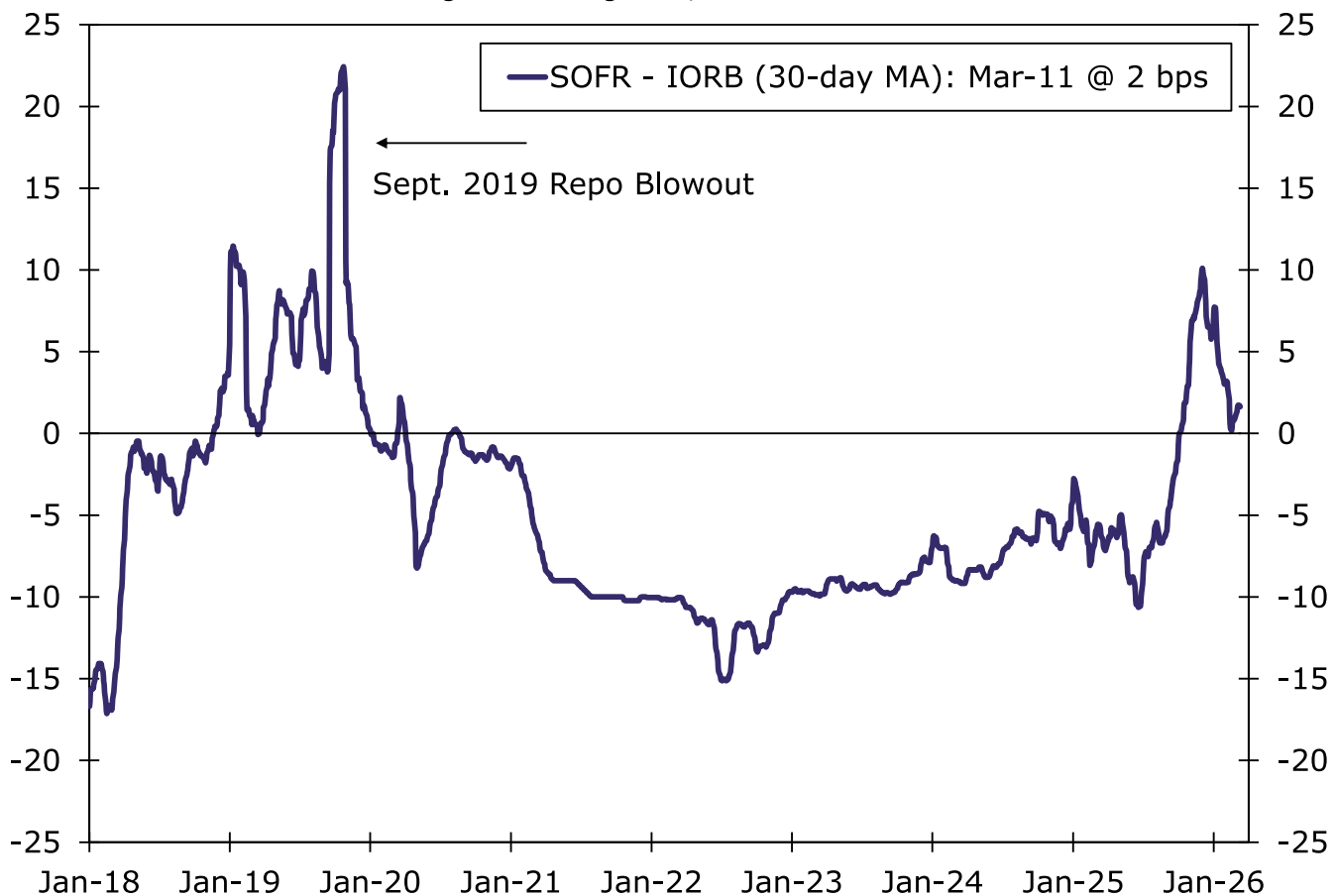
Year-over-Year Percent Change; WF Estimates for PCE in Jan-Feb



Source: U.S. Department of Commerce and Wells Fargo Economics

SOFR / IORB Spread

SOFR=Secured Overnight Financing Rate; IORB=Interest on Reserve Balances



Wells Fargo's Expectations for the SEP					
Median Projection in the FOMC'S Summary of Economic Projections					
		2026	2027	2028	Longer run
Change in Real GDP	March Projection	2.1	2.0	1.9	1.8
	December Actual	2.3	2.0	1.9	1.8
Unemployment Rate	March Projection	4.5	4.3	4.2	4.2
	December Actual	4.4	4.2	4.2	4.2
PCE Inflation	March Projection	2.9	2.2	2.0	2.0
	December Actual	2.4	2.1	2.0	2.0
Core PCE Inflation	March Projection	2.7	2.2	2.0	—
	December Actual	2.6	2.1	2.0	—
Federal Funds Rate	March Projection	3.375	3.125	3.125	3.000
	December Actual	3.375	3.125	3.125	3.000

Forecast as of: March 12, 2026

Source: Federal Reserve Board and Wells Fargo Economics

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Energy Prices & Economic Growth:

The Difference Between Now and Then

Special Commentary

Economist(s)



[Tom Porcelli](#)



[Tim Quinlan](#)



[Shannon Grein](#)



[Nicole Cervi](#)

Between our [FAQ with the team](#) and our note on what it would take to have a [serious conversation about recession](#), we have tossed a lot at you over the last week related to the conflict with Iran. Let us provide just a bit more context around some of the numbers we've been talking about.

The reality is the U.S. economy is less sensitive to higher energy prices than it once was. In the note we penned on recession risks we referenced our model simulations that suggest a sustained 50% rise in oil prices would reduce the average annual growth rate of real personal consumption expenditures (PCE) by around one percentage point. But consider this. **We estimate that same 50% sustained rise in prices would have had about twice the effect back in the 1980s, lopping off around two percentage points off PCE growth.** In other words, back then, talk of recession would already be gathering steam, all else equal.

The country was highly energy-sensitive then, heavily reliant on imported oil and far more exposed to sudden increases in energy costs. Higher prices translated quickly into weaker real income growth, reduced consumption and slower top-line economic activity.

Things are different today. For starters, we are far more energy efficient. Back in the 1980s new cars averaged about 20mpg compared to today's 32mpg ([Figure 1](#)). Second, Households are earning more too; gasoline and even broader energy-related purchases make up a smaller share of household spending today than they once did ([Figure 2](#)). And third, the U.S. also produces more domestically meaning it is less reliant on foreign supply ([Figure 3](#)).

The bottom line is that improvements in energy efficiency, a smaller energy footprint (relative to output) and the broader U.S. transition from being a net energy importer to a net energy exporter have together reduced the direct drag on growth and particularly consumption from oil and gas price shocks.

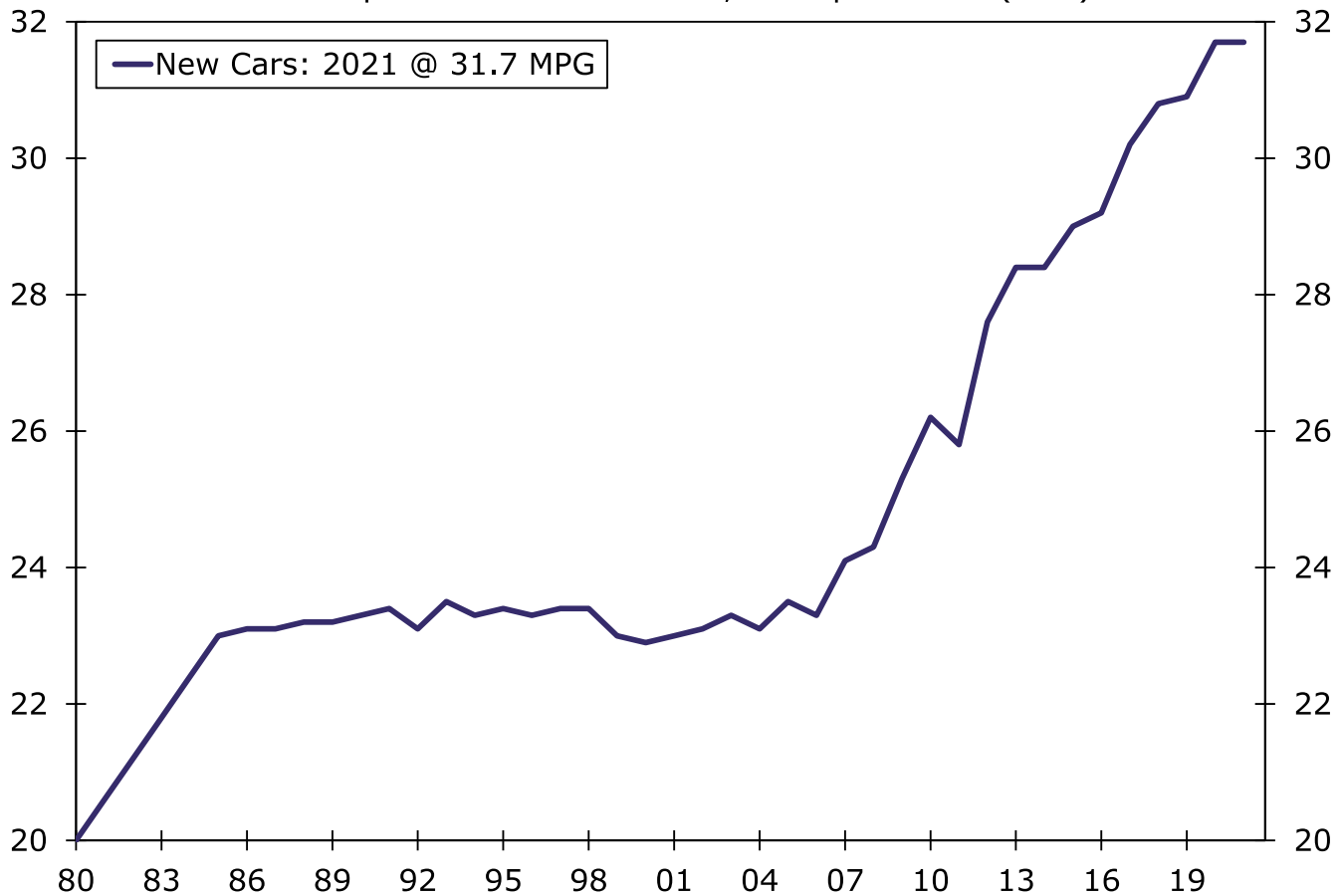
That does not mean higher prices today are painless. Energy demand remains relatively inelastic in the short run, and lower-income households remain disproportionately exposed. We've [marked down](#) our real PCE growth forecast as a result of the recent move higher in prices.

It seems prudent to again state the obvious here that this still remains an incredibly fluid situation, but at the aggregate level, the effect of higher energy prices is more likely to show up as slower consumption growth, rather than the abrupt retrenchment that characterized past oil shocks. But let's see where this goes.

Figure 1

U.S. Production-Weighted Fuel Economy

New Imported & Domestic Cars; Miles per Gallon (MPG)



Source: U.S. Department of Transportation and Wells Fargo Economics

Figure 2

U.S. Energy-Related Consumer Spending

Share of Total Personal Consumption Expenditures (PCE)

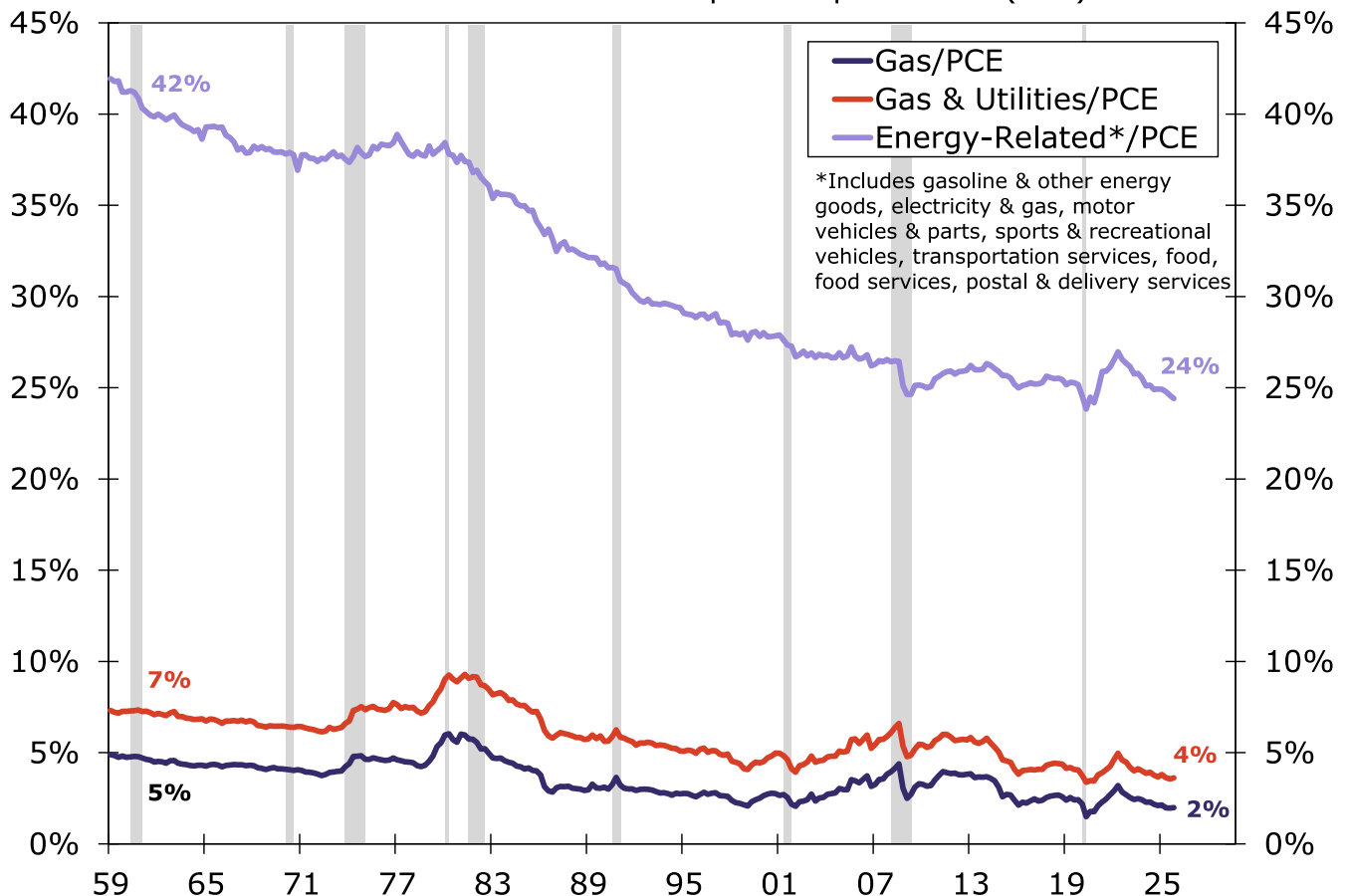
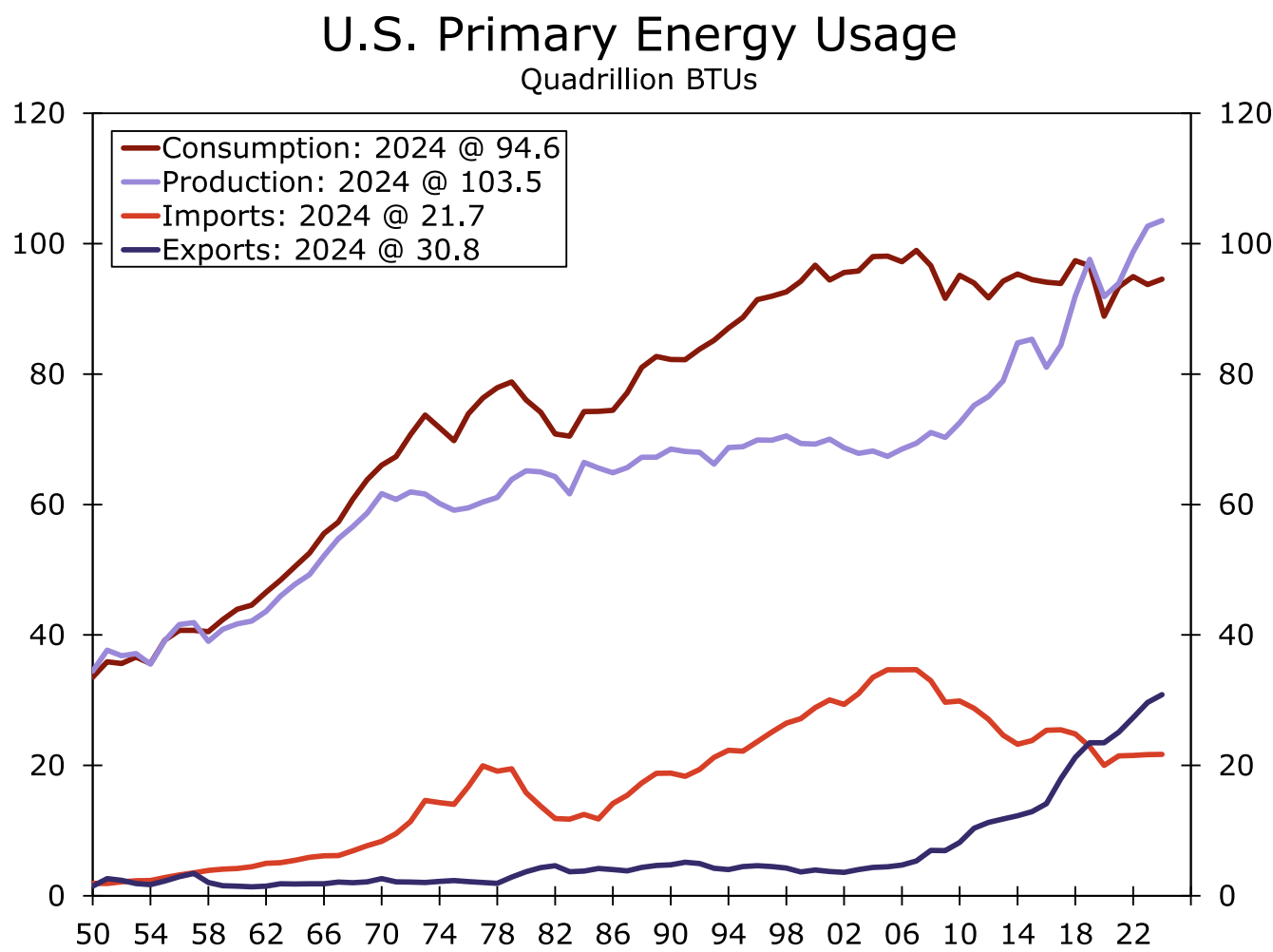


Figure 3



Source: Energy Information Administration and Wells Fargo Economics

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What Would It Take to Tip the Economy into Recession?

Oil Prices & Recession Risk Roadmap

Special Commentary

Economist(s)



[Tom Porcelli](#)



[Tim Quinlan](#)



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[Shannon Grein](#)



[Nicole Cervi](#)

- Recession is not our base case, but we believe the risk distribution has shifted decisively to the downside, as oil briefly broke above \$110/barrel and remains volatile. The U.S. economy does not enter the current oil price shock from a position of robust strength. With headline inflation on its way back above 3% as soon as this month, higher oil prices add a new headwind at a moment when the U.S. economy's margin for error is narrow.
- Recessions ultimately reflect broad and persistent declines in activity. An oil price shock becomes recessionary when it turns a slowing expansion into a self-reinforcing downshift: real income falls, consumption growth slows, investment contracts, hiring weakens, and income declines further.
- Our model simulations suggest that a 50% sustained increase in oil prices would reduce annual average growth of real personal consumption expenditures (PCE) by a full percentage point—more than offsetting the expected boost to consumer spending from the One Big Beautiful Bill's household tax cut provisions.
- In an additional modeling exercise, sustained oil prices at \$130/barrel, which is a ~100% increase from the pre-conflict baseline, would lead to back-to-back contractions in quarterly PCE in the middle part of this year.
- Higher oil prices tend to provide a boost to business fixed investment, primarily through increased energy-sector spending. This energy investment impulse is layered on top of a structural capex boom tied to the generative AI build-out, which has been relatively insensitive to energy costs and broader macro volatility.
- Moderate increases in oil prices tend to reallocate growth, rather than eliminate it: consumer spending slows, but investment accelerates, helping to stabilize aggregate demand. However, this offset is neither full, nor immediate.
- As a net energy exporter, the U.S. economy can better weather higher oil prices than many other countries, but sustained prices north of \$130/barrel would materially raise the risk of recession.

The Economy Is Vulnerable to an Oil Shock Right Now

With intraday oil prices nearly hitting \$120/barrel over the past day (and then receding almost as fast), we know some folks are wondering about potential downside economic risks. So let's talk about it. To be clear, it seems very premature to notably alter recession odds at this juncture (given the volatility of oil prices mentioned a moment ago, that seems practical). But that shouldn't stop us from talking about risks associated with big upswings in oil ([Figure 1](#)) and providing a roadmap of sorts.

The reality is the U.S. economy does not enter the current oil shock from a position of robust strength. Payroll growth remains soft at best, the unemployment rate is modestly above most estimates of full employment, and real income growth was already under pressure before energy prices moved higher. With headline inflation on its way back above 3% as soon as this month, higher oil prices add a new headwind at a moment when the margin for error is narrow.

As we flagged in our [FAQ last week](#), the longer prices stay elevated, the greater the downside economic hit becomes. Stated differently, the left tail grows fatter the longer prices rise and stay elevated. So from our lens, **the relevant question for markets is no longer whether higher oil prices are “bad for U.S. growth,” but what conditions would be required for an oil shock to push a fragile expansion into outright recession?**

Recessions ultimately reflect broad and persistent declines in activity. An oil shock becomes recessionary when it turns a slowing expansion into a self-reinforcing downshift: real income falls, consumption growth slows, investment contracts, hiring weakens, and income declines further.

The Three Conditions that Typically Turn an Oil Spike into a Recession

1) The jump in oil prices is high enough to force real income to contract

- **A sustained rise in energy prices mechanically weakens real income growth**, especially when wage growth is already slowing and hiring is soft, as it happens to be right now.

2) The shock persists long enough to spread beyond energy

- One-off spikes hit sentiment and headline inflation, but recessions usually require months of pressure that force households to change behavior and businesses to revise staffing and capex plans. Put differently: **the economy can “absorb” a spike; it struggles with a new, sustained higher plateau.**

3) Spillovers tighten broader financial conditions

- **The most dangerous pathway is not just the direct energy price spike—it’s the second-order effect:** higher inflation expectations, weaker sentiment, and tighter financial conditions that make investment harder and ding household consumption, particularly for the higher income cohorts currently driving spending growth. Market concerns about growth have the potential to become self-fulfilling by choking off the confidence/wealth channel and turn what has already felt like a recessionary environment for many Americans into an actual recession.

Modeling the Consumer Impact: Some Wiggle Room, but Not Limitless

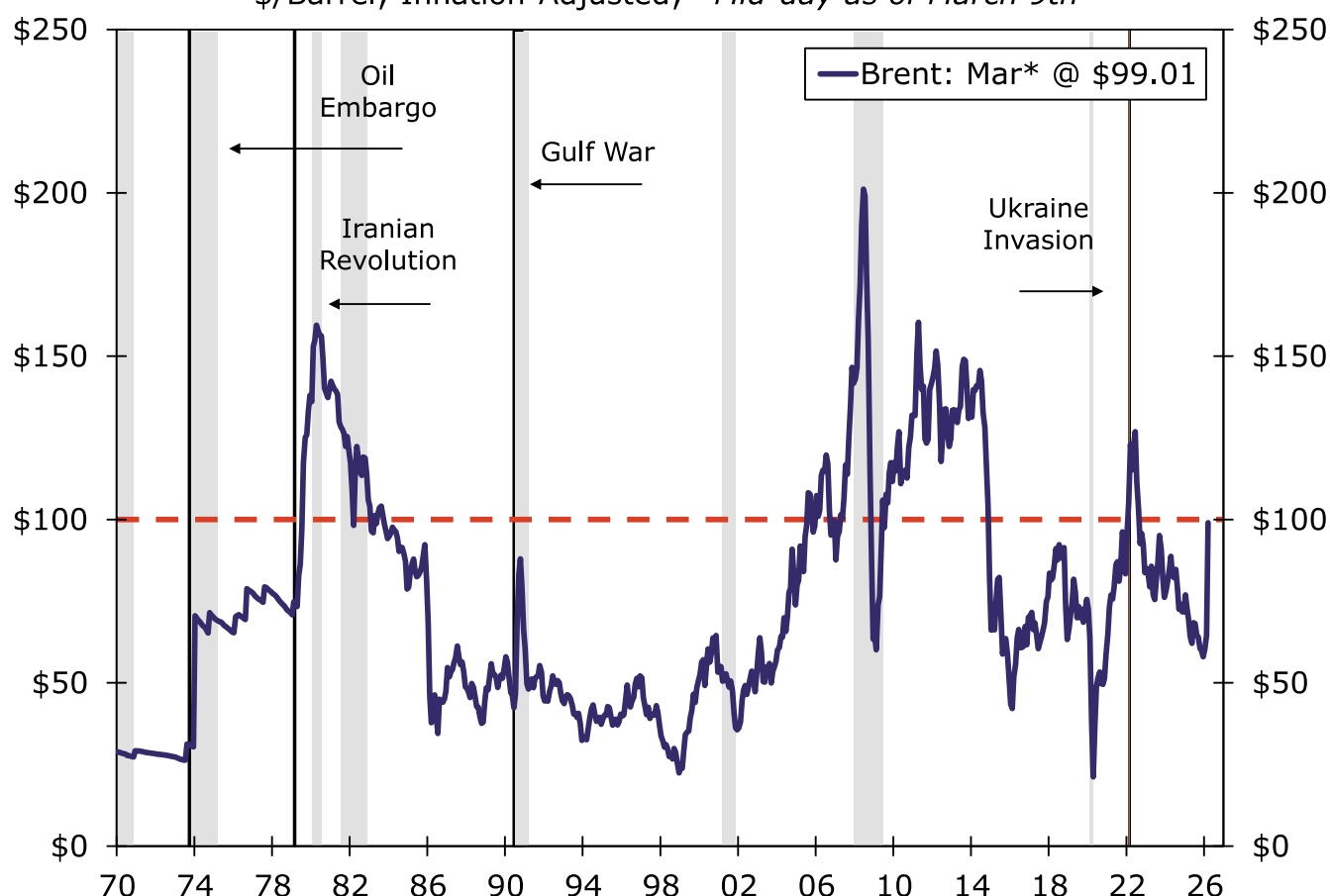
Most households devote a relatively small share (less than 3%) of their budgets directly to gasoline and other energy goods, but these are expenditures that are difficult to curtail when prices rise. As seen in [Figure 2](#), our model simulations suggest that a 50% sustained increase in oil prices would reduce the annual average pace of real personal consumption expenditures (PCE) by a full percentage point—more than offsetting the expected boost to consumer spending from the One Big Beautiful Bill's household tax cut provisions.

Even so, a larger oil price shock would need to be sustained to generate a contraction in aggregate consumer spending that is typically associated with recession. While real retail and wholesale sales are near stall speed, broader consumption has remained more resilient in recent months, supported by the growing dominance of services spending, demographic dynamics (e.g., more spending on healthcare), and income concentration among higher income households. In an additional modeling exercise, **sustained oil prices at \$130/barrel, which is a ~100% increase from the pre-conflict baseline, would lead to back-to-back contractions in quarterly PCE in the middle part of this year.**

Figure 1

Brent Crude Prices

\$/Barrel; Inflation-Adjusted; *Mid-day as of March 9th

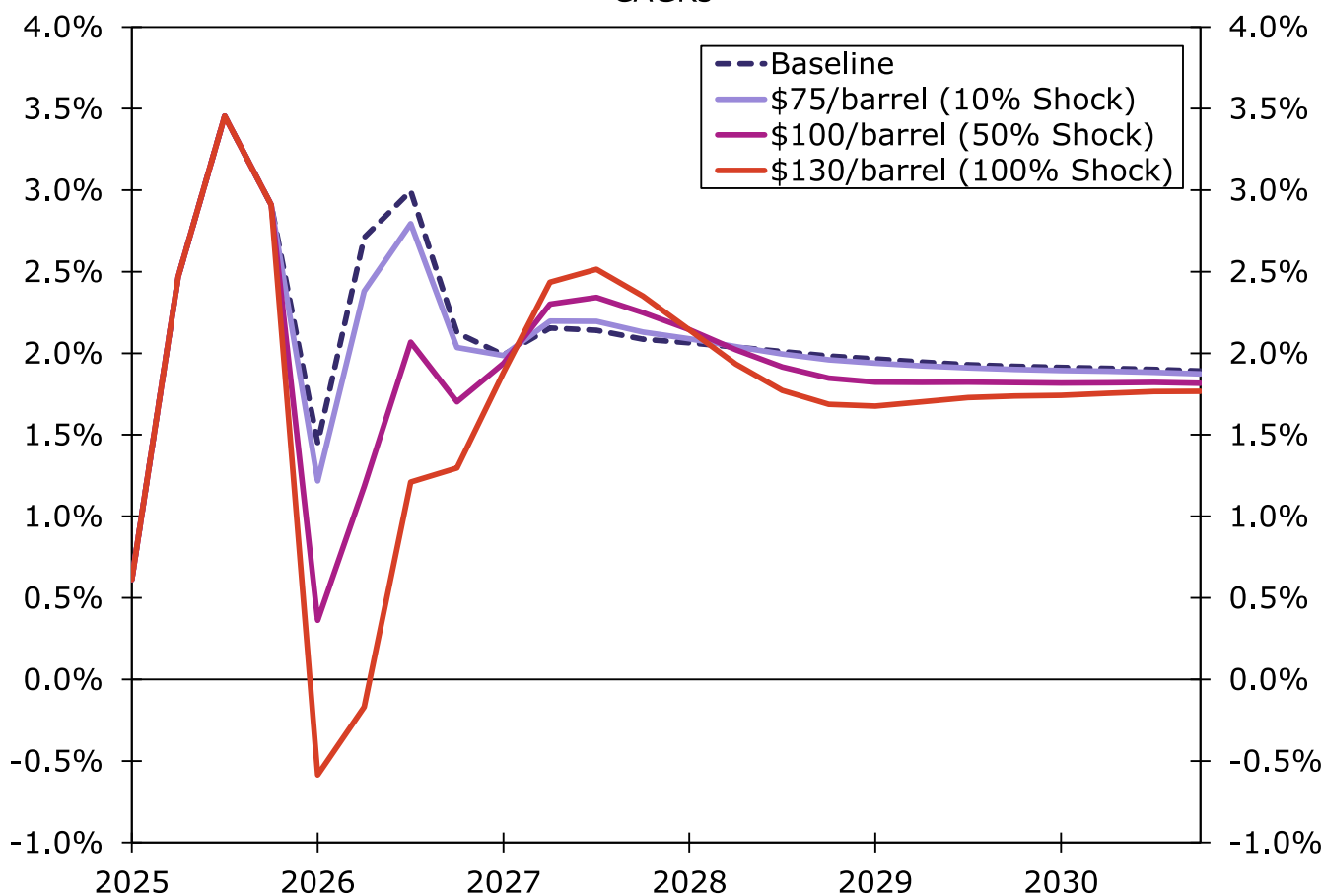


Source: Bloomberg Finance L.P. and Wells Fargo Economics

Figure 2

Real PCE: Brent Oil Price Shock Scenarios

CAGRs



Source: Oxford Economics and Wells Fargo Economics

Modeling the Investment Impact: A Partial Offsetting Boost

Higher oil prices tend to provide a boost to business fixed investment, primarily through increased energy-sector spending. Rising prices improve project economics, lift cash flow for producers and incentivize new drilling, infrastructure, and related capital outlays.

In the current cycle, this investment impulse is layered on top of a structural capex boom tied to the generative AI build-out, which has been relatively insensitive to energy costs and broader volatility. As a result, **moderate increases in oil prices tend to reallocate economic growth, rather than eliminate it: consumer spending slows, but investment accelerates, helping to stabilize aggregate demand.**

However, this offset is neither full, nor immediate. The hit to household purchasing power occurs quickly, while investment responds with a lag. More importantly, the investment response does not scale one-for-one with oil prices, meaning we would not expect the pick-up in energy-related investment spending to offset fully the loss in household purchasing power.

Bottom Line: Recession Risks Elevated

Oil shocks do not automatically produce recessions. They become recessionary when they persist, compress real incomes, and trigger spillovers that feed back into employment and financial conditions. The key takeaway for markets is the non-linearity of the risk: moderate oil price increases slow growth; sufficiently high and sustained prices can overwhelm the offsets and tip the economy into recession. The question is not whether oil matters—but how high, and for how long. As a net energy exporter, the U.S. economy can better weather higher oil prices than many countries. But, sustained prices north of \$130/barrel would materially raise the risk of recession.

A Practical "Recession Checklist":

1. Oil stays elevated long enough to push up headline inflation and produce outright declines in real incomes.
2. Consumption rolls over in back-to-back quarterly declines, which our model suggests can occur around \$130/barrel.
3. Financial conditions tighten in a way that hits investment spending and higher income consumption, turning the current bifurcated consumption pattern into a broader downshift.
4. Prices climb to a level where the boost to energy-related capex no longer offsets the broad hit to household spending.

When all four are checked—especially #2 plus #3—the probability of recession rises materially.

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All estimates/forecasts are as of 3/9/2026 unless otherwise stated. 3/9/2026 16:24:24 EDT.

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February CPI Preview: Disinflation Progress Looks to Be Stalling Again

Special Commentary

Economist(s)



[Sarah House](#)



[Michael Pugliese](#)



[Nicole Cervi](#)

- The February CPI is likely to show that progress on lowering inflation is stalling out again. We estimate headline CPI rose 0.21% last month. That would be a few basis points stronger than January's 0.17% increase and would keep the year-over-year rate a tick above its cycle low of 2.3%.
- Although the conflict in the Middle East started over the weekend, oil and gasoline prices were already rising last month in anticipation of an escalation. We estimate gasoline prices rose 0.8% in February, with a slightly smaller increase (+0.6%) in energy services.
- We expect prices for food at home to fall 0.1% in February, providing some relief to consumers amid the strengthening in energy inflation. The January Producer Price Index for consumer foods posted its largest monthly decline since last March, and data from Truflation also show food inflation cooling rapidly. We look for the softer trend in grocery prices to continue in the coming months amid lower agricultural commodity prices and slowing wage costs at grocery stores. Weaker input cost growth should help limit food away from home inflation to a ~0.25% increase, which would be below the 0.33% monthly average increase registered in 2025.
- We expect core CPI to advance 0.19% in February, softer than January's 0.30% rise. Services should lead the moderation. We project primary shelter inflation to rise roughly in line with January's 0.23% increase, but softer price growth in travel-related services and medical care likely will weigh on core services inflation. Hotel occupancy and air traveler throughput tracked their seasonal norms in February, leaving room for payback after two months of outsized gains. Professional medical services and hospital services prices rose well above their recent trends in January and thus are ripe for some mean reversion.
- Core goods inflation likely strengthened in February. We look for the pickup to be driven primarily by a rise in used autos prices after a firming in wholesale auction prices around the end of last year. Excluding autos, we look for core goods prices to increase 0.17%, which would be weaker than in January but still slightly above the 2025 average as tariff costs continue to filter through to consumer prices. The staggered pass through of tariff-related costs and firming in transportation costs are expected to keep goods prices advancing faster than their pre-pandemic pace.
- The CPI has shown a noticeably more benign inflation environment than the PCE delator in recent months. Unusually, the year-over-year rate of core CPI is running 0.4 percentage points *below* the core PCE. Much of the divergence is coming from financial services, which carries a significantly larger weight in the core PCE (6% vs. 0.3%) and is largely imputed. Differences in scope and weighting of healthcare services and some core goods items are also leading to core PCE outpacing the core CPI inflation at present. We anticipate the gap to close in the coming months by core PCE slowing and core CPI edging up slightly, but for the combined message to be that inflation remains stuck closer to 3% than the Fed's 2% target.

February 2026 Forecast				
	Month-over-Month % Change		Year-over-Year % Change	
	Forecast	Prior	Forecast	Prior
Seasonally Adjusted	Feb.	Jan.	Feb.	Jan.
CPI (Consensus)	0.20	0.30	2.5	2.5
CPI (WF Estimate)	0.21	0.17	2.4	2.4
Food	0.06	0.19	2.8	2.9
Food at Home	-0.08	0.19	2.1	2.2
Food Away from Home	0.25	0.15	3.8	4.0
Energy	0.72	-1.47	0.5	-0.3
Energy Goods	0.80	-3.26	-5.5	-7.3
Energy Services	0.64	0.19	6.8	7.2
Core CPI (Consensus)	0.30	0.30	2.4	2.5
Core CPI (WF Estimate)	0.19	0.30	2.4	2.5
Goods	0.26	0.04	1.2	1.1
Vehicles	0.42	-0.57	-0.3	-0.5
Other Goods	0.17	0.35	2.1	2.1
Services	0.17	0.39	2.8	3.0
Primary Shelter	0.24	0.23	3.1	3.2
"Super Core"**	0.08	0.73	2.7	2.9
Not Seasonally Adjusted	Index	MoM (%)	YoY (%)	
CPI (Consensus)	—	—	—	
CPI (WF Estimate)	326.657	0.43	2.5	
Forecast as of: March 06, 2026; Bloomberg Consensus				
**Core services CPI excluding rent of primary residence and owners' equivalent rent (i.e., excluding "Primary Shelter")				
Source: U.S. Department of Labor, Bloomberg Finance L.P. and Wells Fargo Economics				

Wells Fargo U.S. Inflation Forecast												
	Actual				Forecast							
	2025				2026				2027			
	1Q	2Q	3Q	4Q	1Q	2Q	3Q	4Q	1Q	2Q	3Q	4Q
CPI (YoY)	2.7	2.5	2.9	2.7	2.6	3.1	2.8	2.8	2.5	2.1	2.1	2.1
QoQ Annualized	3.7	1.7	3.1	2.3	3.1	3.7	1.9	2.3	1.9	2.1	2.2	2.2
Core CPI (YoY)	3.1	2.8	3.1	2.6	2.5	2.7	2.4	2.5	2.4	2.2	2.2	2.21
QoQ Annualized	3.4	2.2	3.2	1.8	2.9	2.8	2.3	2.2	2.2	2.2	2.2	2.2
PCE Deflator (YoY)	2.6	2.4	2.7	2.8	2.8	3.0	2.8	2.6	2.31	2.10	2.14	2.13
QoQ Annualized	3.4	2.1	2.8	2.9	3.4	3.0	2.0	2.2	2.1	2.2	2.1	2.1
Core PCE Deflator (YoY)	2.8	2.7	2.9	2.9	2.9	2.8	2.7	2.6	2.3	2.3	2.3	2.2
QoQ Annualized	3.3	2.6	2.9	2.7	3.4	2.4	2.3	2.2	2.3	2.3	2.2	2.2
Forecast as of: March 6, 2026												
Note: All numbers are percent change.												
Source: U.S. Department of Labor and Wells Fargo Economics												

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The Residential Outlook

Housing Forecast Update

Special Commentary

Economist(s)

 [Charlie Dougherty](#)

 [Jackie Benson](#)

 [Ali Hajibeigi](#)

Housing affordability less adverse, but far from favorable. Relative stability in mortgage rates and home price appreciation, aligned with income growth, will allow affordability to improve. Returning to pre-pandemic affordability levels in the next two years is highly unlikely, however.

Housing affordability now a federal, state and local political concern. Recent federal initiatives aimed at boosting affordability align with new state and local policies with similar goals. The structural nature of the problem (supply/demand imbalance from underbuilding/demographics) and cyclical challenges (high interest rates, building cost inflation, labor/land availability) mean progress will be gradual.

Mortgage rates unlikely to fall much further. We expect quarterly average mortgage rates to hover in a range between 6.1% and 6.2% over the next two years, lower than recent peak rates but elevated enough to pressure affordability.

Home price appreciation picks up modestly. We forecast the median existing single-family price to rise 3.4% in 2026, stronger than 2025's pace but still below the long-run average. New home prices should stabilize after declining over the past several years.

Home sales poised for gradual improvement. Marginally improved affordability conditions and slightly better inventory availability will likely generate a modest lift to existing home sales. Builder incentive programs should continue to support new home sales as demand firms.

Supply remains limited. Easing lock-in effect and higher turnover may boost inventory modestly, though not enough to meet demand. New home inventories will gradually shrink as sales firm and production downshifts.

Single-family construction eases. Home builders will likely remain cautious on new production and continue to realign inventory with sales. Land and labor remain supply constraints.

Multifamily development transitions to growth. Apartment market conditions should firm as the supply wave dissipates and strained homeownership affordability supports rental demand. Lower financing costs and improved capital access will promote a stronger pace of new construction.

Home improvement market steadies. We expect lower interest rates, improved turnover, positive home price appreciation and elevated homeowner equity levels to support growth, with labor and building material inflation remaining limitations.

National Housing Outlook													
	Forecast												
	2015	2016	2017	2018	2019	2020	2021	2022	2023	2024	2025	2026	2027
Real GDP, Percent Change	2.9	1.8	2.5	3.0	2.6	-2.1	6.2	2.5	2.9	2.8	2.2	2.7	2.3
Residential Investment, Percent Change	10.6	7.1	4.3	-0.7	-0.9	7.4	10.6	-8.1	-7.8	3.2	-2.2	-3.5	3.0
Nonfarm Payroll Change (Avg. Monthly)	226.1	194.3	176.3	190.5	165.4	-770.5	606	377	210	122	15	69	72
Unemployment Rate	5.3	4.9	4.4	3.9	3.7	8.1	5.4	3.7	3.6	4.0	4.3	4.4	4.2
Home Construction													
Total Housing Starts, in Thousands	1,111.9	1,173.7	1,202.9	1,250.0	1,289.9	1,379.6	1,601	1,553	1,420	1,367	1,359	1,330	1,380
Single-Family Starts, in Thousands	714.6	781.5	848.9	875.7	887.7	990.5	1,127	1,005	948	1,013	943	910	945
Multifamily Starts, in Thousands	397.3	392.2	354.0	374.3	402.2	389.1	474	548	472	354	416	420	435
Home Sales													
New & Existing Home Sales, in Thousands	5,751	6,011	6,123	5,957	6,022	6,461	6,891	5,667	4,753	4,748	4,741	4,921	5,134
New Home Sales, Single-Family, in Thousands	501	561	613	617	682	821	771	641	666	686	679	699	722
Total Existing Home Sales, in Thousands	5,250	5,450	5,510	5,340	5,340	5,640	6,120	5,026	4,087	4,062	4,062	4,223	4,411
Existing Single-Family Home Sales, in Thousands	4,646	4,838	4,892	4,742	4,765	5,066	5,413	4,480	3,659	3,671	3,689	3,837	4,009
Existing Condominium & Co-op Sales, in Thousands	608	614	619	601	579	578	707	546	428	391	373	386	402
Home Prices													
Median New Home, \$ Thousands	294.2	307.8	323.1	326.4	321.5	330.9	383.5	434.5	428.6	420.3	412.8	414.8	425.2
Percent Change	2.0	4.6	5.0	1.0	-1.5	2.9	15.8	16.8	-1.4	-1.9	-1.8	0.5	2.5
Median Existing Single-Family Home, \$ Thousands	223.9	235.5	248.8	261.6	274.6	300.2	357.1	392.8	394.1	412.5	419.3	433.6	449.6
Percent Change	7.2	5.2	5.6	5.1	5.0	9.3	19.0	10.0	0.3	4.7	1.6	3.4	3.7
S&P Case-Shiller National Home Price Index, Percent Change	4.5	5.1	5.8	5.8	3.4	6.0	17.1	14.8	2.5	5.1	2.3	3.6	4.2
Interest Rates - Annual Averages													
Federal Funds Target Rate	0.27	0.52	1.13	1.96	2.25	0.50	0.25	2.02	5.23	5.27	4.33	3.44	3.25
10-Year Treasury Note	2.14	1.84	2.33	2.91	2.14	0.89	1.45	2.95	3.96	4.21	4.29	4.18	4.29
Conventional 30-Year Fixed Rate, Commitment Rate	3.98	3.76	4.09	4.64	4.08	3.18	3.03	5.38	6.80	6.72	6.60	6.14	6.19

Forecast as of: March 3, 2026

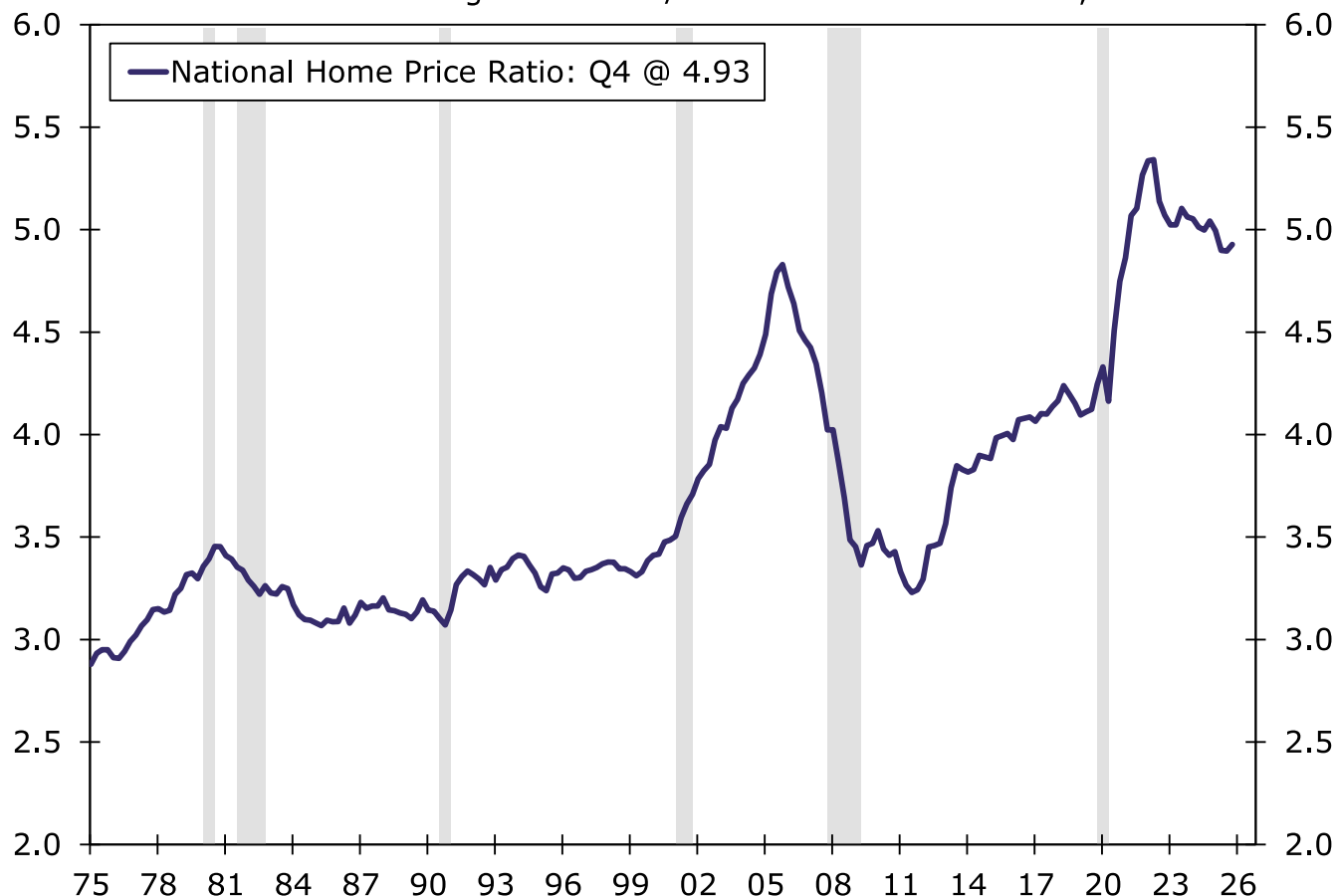
Source: U.S. Departments of Commerce and Labor, FRB, FHFA, FHLMC, National Association of Realtors, S&P and Wells Fargo Economics

Housing Affordability Measures

- Housing affordability remains stretched. The national home price-to-income ratio registered at approximately 5.0 in Q4 2025, well above pre-pandemic average of about 4.0 and higher than long-run historical averages.
- Similarly, the annual mortgage payment share of median income stands at 42%, well north of the 30% share typically deemed as within budget for the median home buyer.
- Zooming in, affordability has improved around the margins on account of lower mortgage rates, more moderate home price appreciation and sturdy income growth. That said, affordability conditions are far from favorable.

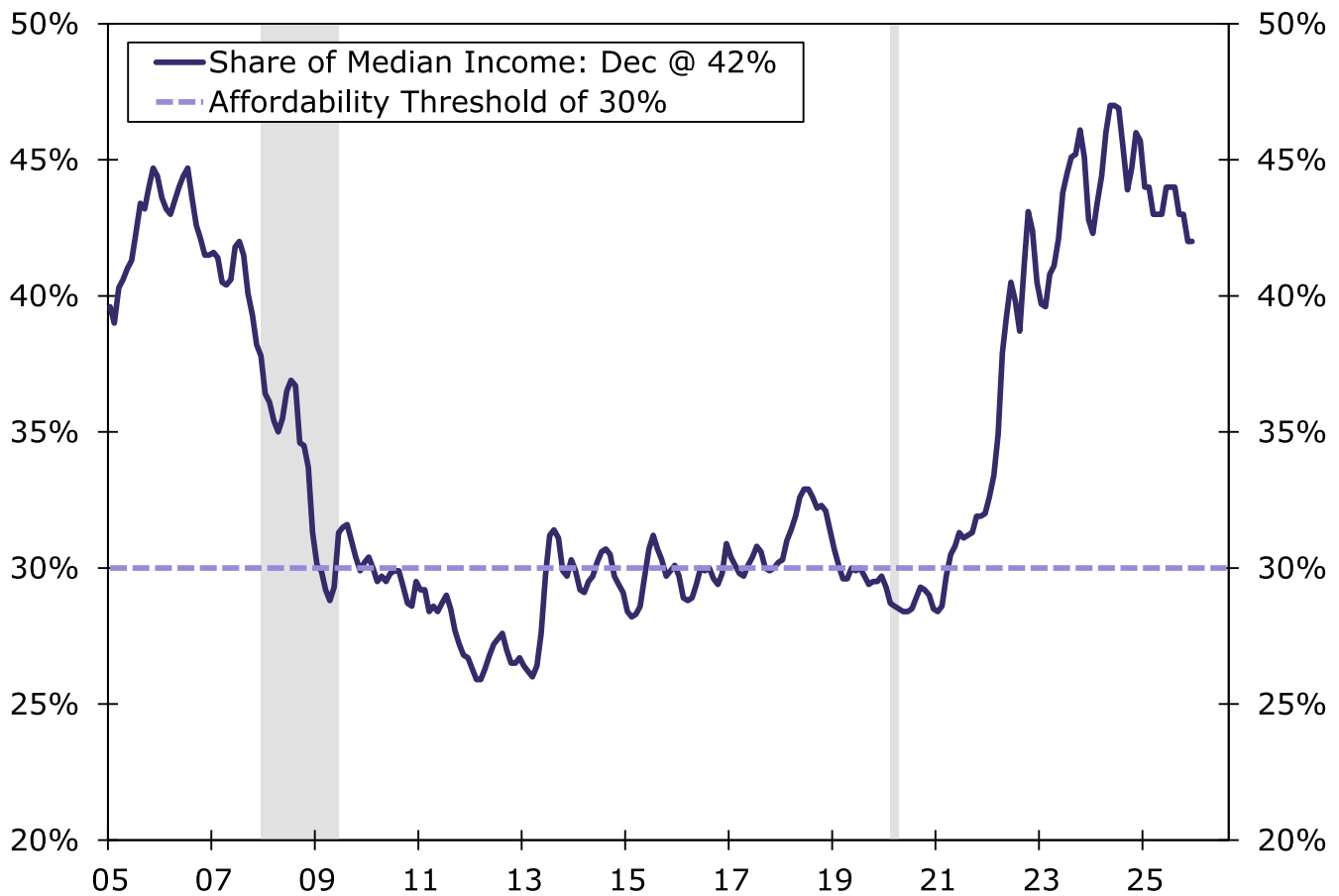
National Home Price-to-Income Ratio

Median SF Existing Home Price/Median Household Income, SA



Source: NAR and Wells Fargo Economics

Annual Mortgage Payment Share of Income



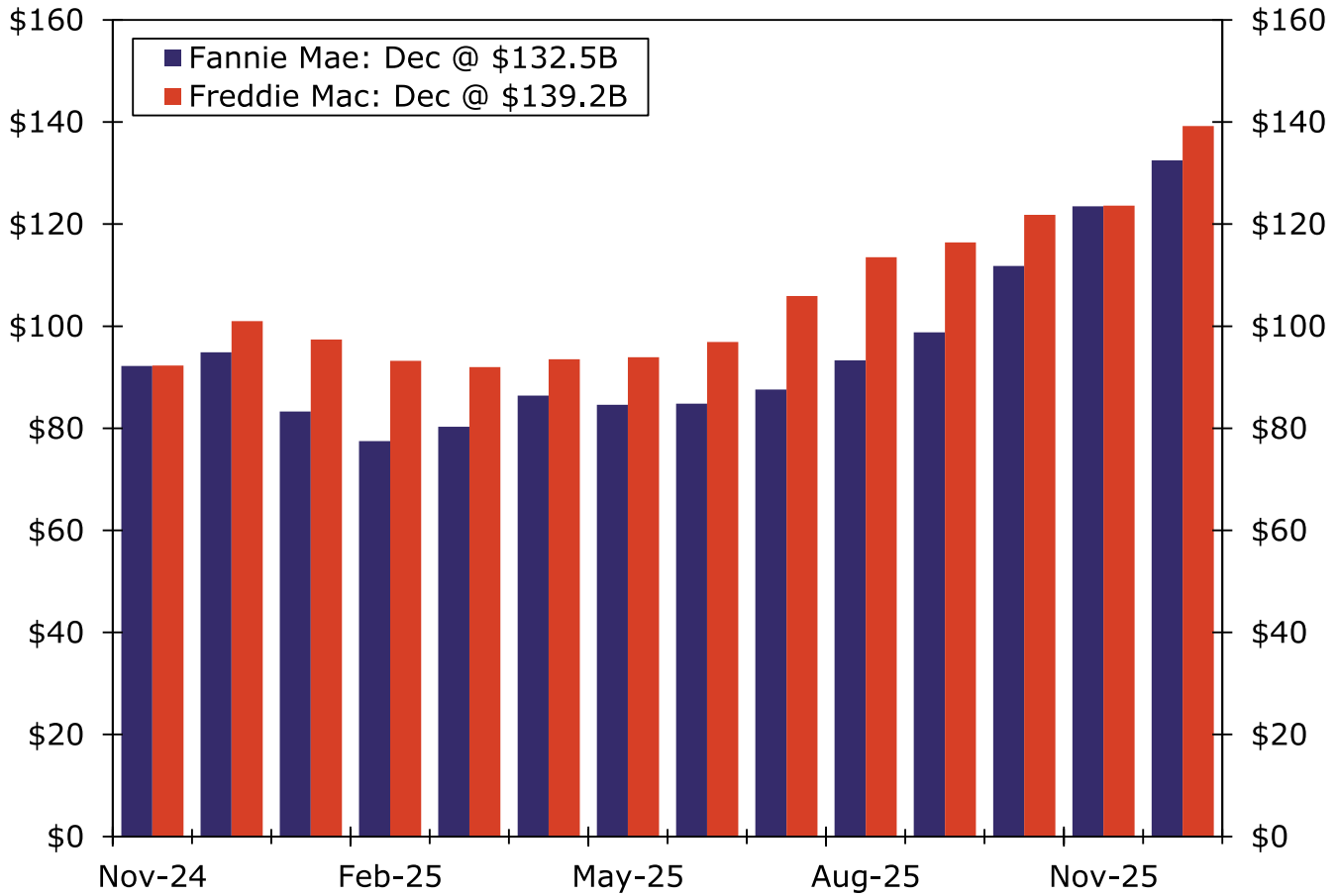
Source: Federal Reserve Bank of Atlanta and Wells Fargo Economics

Housing Policy

- The Trump administration has directed the GSEs to purchase \$200 billion in mortgage bonds in order to tighten mortgage spreads and reduce mortgage rates. Even before January's announcement, Fannie Mae and Freddie Mac had already increased their retained mortgage portfolios throughout 2025.
- More details on the Trump administration's [proposed action](#) on institutional home purchases have come to light. Official guidance is still forthcoming, but in a memo sent to Congress, the administration defined "institutional" as firms that own 100 or more properties. This segment accounted for 5.4% of total home sales in late 2025, a small but not insignificant share.

GSE Retained Mortgage Holdings

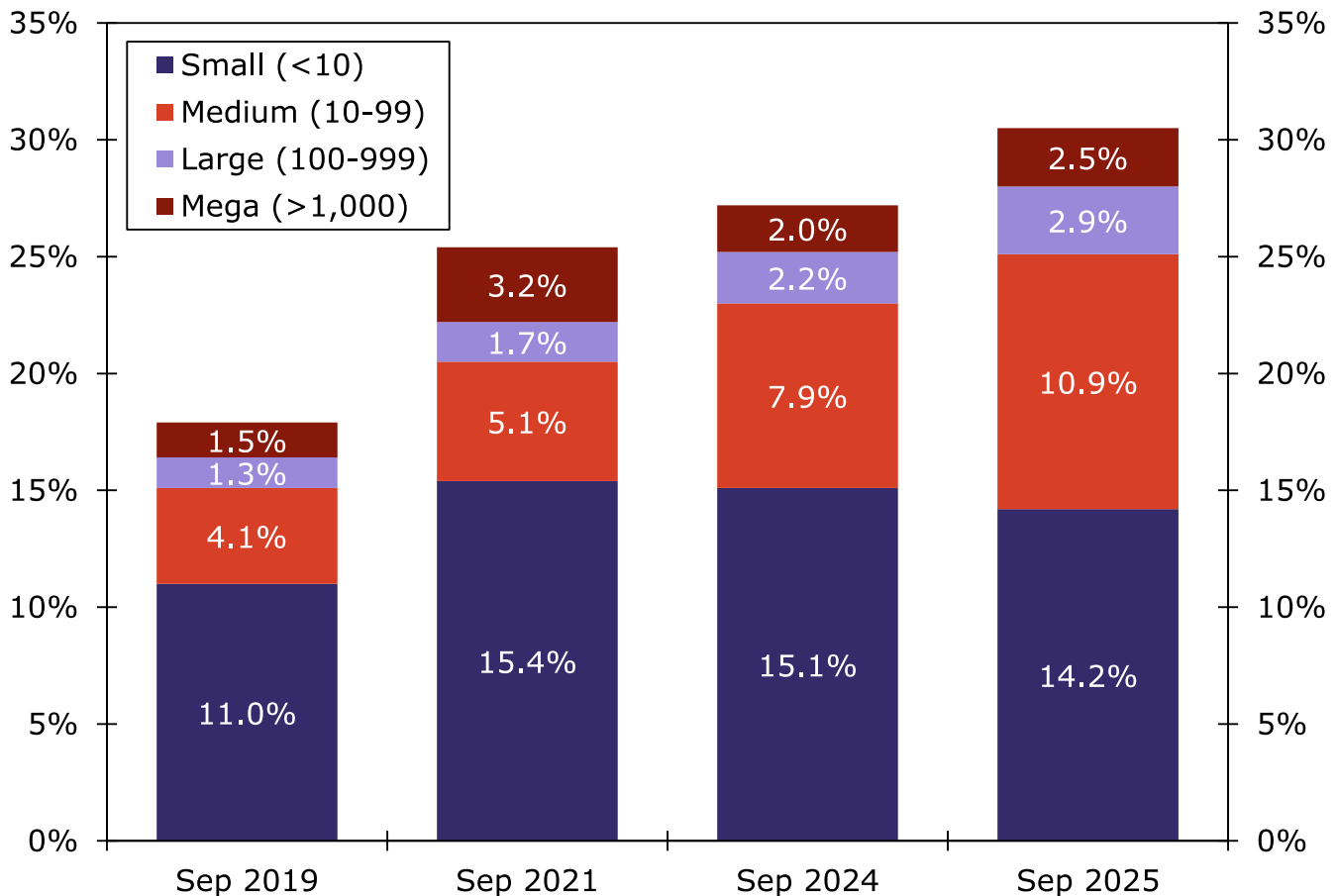
In Billions of Dollars



Source: Fannie Mae, Freddie Mac and Wells Fargo Economics

Investor Share of Home Sales by Investor Size

Grouped by Number of Properties



Source: Cotality and Wells Fargo Economics

Mortgage Rates

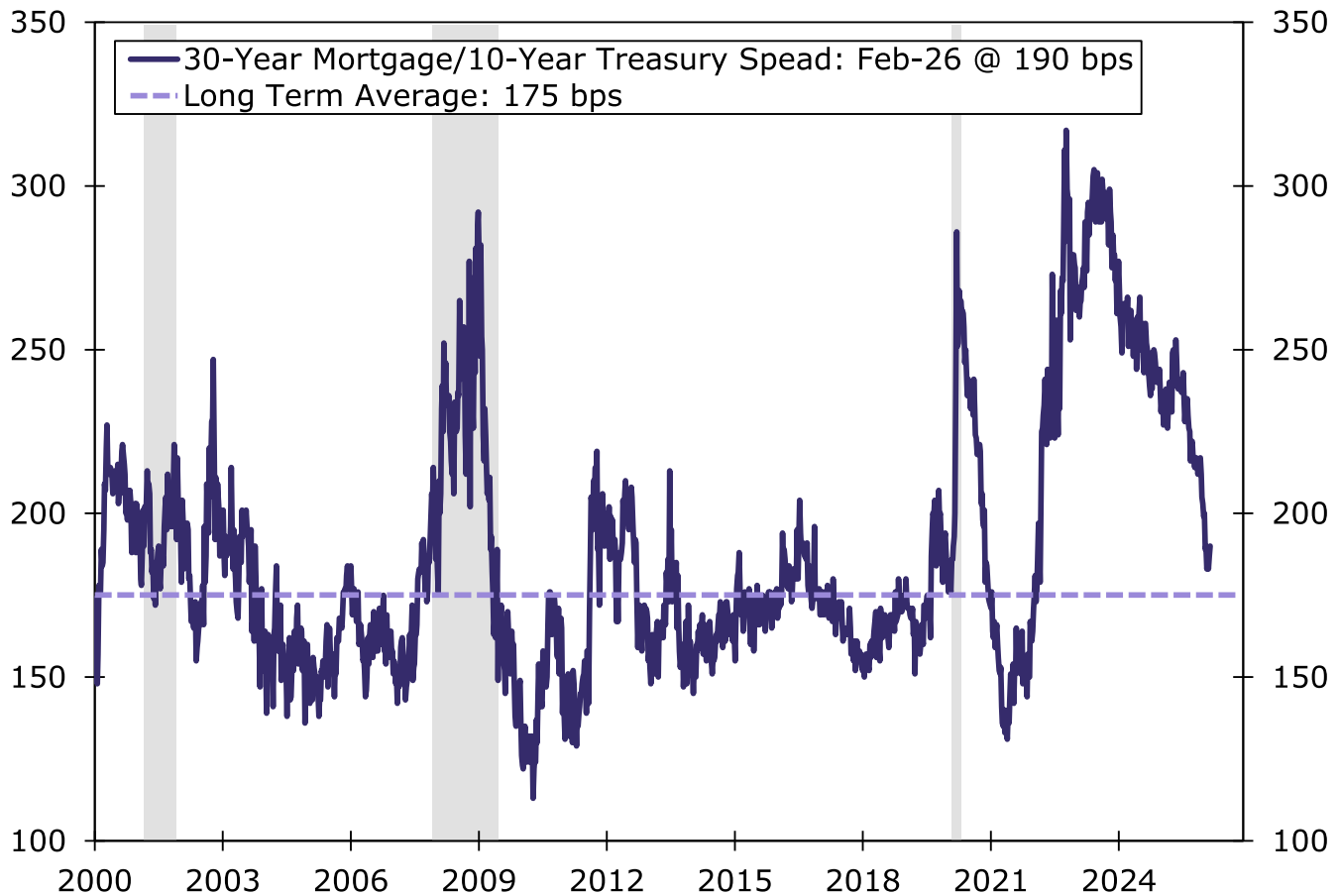
- Mortgage rates have declined by roughly 100 bps over the past year. According to Freddie Mac, the average 30-year fixed rate averaged 5.98% during the fourth week of February, down from 7.04% in January 2025.
- A narrowing mortgage spread has helped mortgage rates ease. The spread between the 30-year mortgage rate and 10-year treasury yield receded to roughly 190 bps as of Feb. 26, close to long-term historical averages and down from a peak of nearly 320 bps in October 2022.
- Mortgage rates likely do not have much additional room to fall, with still-elevated inflation and fiscal pressures exerting upward force. We forecast the 30-year fixed rate quarterly average will hover between 6.1% and 6.2% over the next two years.

Freddie Mac 30-Year Conventional Mortgage Rate



Source: Freddie Mac and Wells Fargo Economics

30-Year Conventional Mortgage & 10-Year Treasury Spread In Basis Points



Source: Freddie Mac and Wells Fargo Economics

Existing Home Sales

- The pace of resales remains tepid. Sales have averaged a 4.0 million-unit pace in the three months ending January, about 37% below the peak 6.5 million-unit pace hit in late 2022 and 23% below 2019's 5.3 million-unit average.
- Although still slow, the recent dip in mortgage rates does appear to be supporting a modest improvement in home sales. Resales experienced a weather-related drop in January but increased in three of the last four months of 2025.

Source: NAR and Wells Fargo Economics

Source: NAR and Wells Fargo Economics

Leading Indicators

- The recent uptrend in home sales was presaged by a steady increase in mortgage applications for purchase over the past year. That said, applications took a downward turn in February and are still running roughly 35% below pre-pandemic levels.
- Pending home sales edged lower in January after falling sharply in December. These back-to-back slips were likely the result of challenging winter weather conditions across much of the nation. Nevertheless, the index currently sits at its lowest level on record going back to 2001, which serves as a reminder that poor affordability conditions remain a constraint on home sales.

Source: MBA and Wells Fargo Economics

Source: NAR and Wells Fargo Economics

Existing Home Prices

- Home price growth remains soft on balance. The S&P Cotality Case-Shiller National Home Price Index was up only 1.3% year-over-year in December, a significantly more moderate pace than in recent years. That said, price appreciation looks to have picked up a bit of steam, with the headline index rising in each of the last five months of 2025.
- Pricing trends vary by region. According to the National Association of Realtors, median resale prices in the South and West are either declining or flat on an annual basis, coinciding with pronounced inventory growth in states like Florida and Texas. Meanwhile, price appreciation remains firmly positive in the more supply-constrained Midwest and Northeast.

Source: S&P Cotality and Wells Fargo Economics

Source: NAR and Wells Fargo Economics

Market Level Pricing Trends

- The disparity between regional price trends is apparent at the market level. Price appreciation is running at an above-average pace in Chicago, New York City and Cleveland, evidence that still-tight supply is exerting upward pressure. By contrast, Tampa, Denver, and Phoenix have registered declines over the past year.
- Zooming out, as of December 2025, 108 markets had experienced home price declines on a year-over-year basis, more than 25% of the metro areas and divisions tracked by Cotality. Annual price declines have not been this widespread since July 2012.

Source: S&P Cotality and Wells Fargo Economics

Source: Cotality and Wells Fargo Economics

Existing Home Inventory

- Resale inventory remains low in historical context. The 1.11M single-family homes for sale in January 2026 was 10.5% below the pre-pandemic level of 1.24 million in January 2020.
- Although listings are still climbing, the pace of expansion is slowing. Single-family resale inventory was up 7.8% year-to-year in January 2026, slower than the annual rate of 15.7% posted in the same month the prior year.
- The "lock-in" effect persists. The rate on outstanding mortgage debt remains about two percentage points below prevailing market rates, a disincentive for many homeowners to trade into a new mortgage. That said, the gap is gradually narrowing and supporting modest growth in new inventory.

Source: NAR and Wells Fargo Economics

Source: U.S. Department of Commerce, Freddie Mac and Wells Fargo Economics

New Home Sales

- Demand for new construction also appears to have benefited from the recent lull in mortgage rates. While down slightly in 2025 as a whole, the pace of new home sales accelerated in the last two months of the year. In December 2025, sales reached a 745K unit pace, equating to a 3.8% year-to-year gain.
- Builder incentives remain a key support factor. Nearly two-thirds of builders used incentives like price cuts or mortgage rate buy-downs in February, the seventh straight month that this ratio has met or exceeded 65%. Price cuts alone fell back somewhat in February but remained elevated at 36%.

Source: U.S. Department of Commerce and Wells Fargo Economics

Source: NAHB and Wells Fargo Economics

New Home Supply

- The recent acceleration in sales has led to a small 3.5% reduction in new home inventory over the past year. Still, there were 472K new homes for sale in December, near the highest since February 2008.
- In terms of months supply, new home inventory could sustain 7.6 months' supply of sales in December, well above the 5.5-months' supply averaged between 2015 and 2019.
- New home inventory has eased somewhat in the key builder regions of the South and West, though supply is still elevated relative to pre-pandemic levels. Meanwhile, the Midwest and Northeast regions generally have seen inventory build over the past year.

Source: U.S. Department of Commerce and Wells Fargo Economics

Source: U.S. Department of Commerce and Wells Fargo Economics

New Home Prices

- Soft demand, increased supply and higher prevalence of builder incentives are factors weighing on new home prices. The median new home price fell 2.0% year-over-year in December, continuing a trend decline that began in 2023.
- The median new home price is now roughly equivalent to the median existing price, a break from historical norms. The median sale price for a new single-family build was \$414.4K in December vs. \$409.5K for the median resale home.

Source: U.S. Department of Commerce and Wells Fargo

Source: U.S. Department of Commerce, NAR and Wells Fargo Economics

New Home Construction

- Single-family builders have scaled down production plans amid elevated inventory and lackluster demand. Although single-family permits stabilized in the second half of 2025, the number of permits filed in 2025 declined 7.6% from 2024.
- Home builder sentiment remains generally low despite the recent easing in mortgage rates. The NAHB Housing Market Index declined for two consecutive months in January and February, ending a three-month streak of gains at the end of 2025. Deteriorating buyer traffic and moderating sales expectations were key drivers of the reversal, suggesting that builders are pessimistic about the prospect of affordability conditions improving.

Source: U.S. Department of Commerce and Wells Fargo Economics

Source: NAHB and Wells Fargo Economics

Multifamily Construction

- The count of multifamily units under construction continues to normalize, an indication that the wave of development over the past several years is moving further from its peak.
- Disagreement between two major construction data sources clouds the current state of new multifamily development. Multifamily construction starts declined by each measure in Q4 2025. However, Census data continue to paint a more constructive picture while CoStar is tracking a continued slide.
- Either way, we look for multifamily development to improve over the course of 2026 alongside easing monetary policy, thinning supply pipeline, and sturdy rental demand on account of affordability challenges.

Source: U.S. Department of Commerce, CoStar Inc. and Wells Fargo Economics

Source: U.S. Department of Commerce and Wells Fargo Economics

Home Improvement Market

- The trend decline in NAHB's Remodeling Market Index indicates that home improvement activity has moved to a lower gear. A recent uptick in the headline index, however, suggests the headwinds of higher interest rates, construction labor scarcity, and sharp run-up in building material prices may be starting to fade.
- An upturn in building material retail sales in the final quarter of 2025 is a greenhoot. A slight pick-up in home sales, strong homeowner equity levels, and lower interest rates should help support residential remodeling ahead.

Source: NAHB and Wells Fargo Economics

Source: U.S. Department of Commerce and Wells Fargo Economics

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The Conflict with Iran: FAQ with the Team

Special Commentary

Economist(s)



[Tom](#) [Tom Porcelli](#)

This is obviously a very fluid situation and as the facts on the ground evolve so too will the economic impact. As a framing, just bear in mind that, absent a prolonged war and major long-term disruptions to key shipping routes in the Strait of Hormuz, the impact on U.S. economic growth, inflation and monetary policy should remain modest. Of course, the opposite also could be true.

Our model simulations of 10% and 30% sustained increases in oil prices do not come close to generating a U.S. recession or markedly changing the trajectory for core inflation. Headline inflation does move higher via higher energy prices for the consumer, but the drag on real consumer spending and thus economic growth is muted in these scenarios (0.1-0.2 percentage points for the year).

Central banks typically look through oil-driven inflation shocks, and we expect this time to be similar. We expect the FOMC to take the long view, and the weekend's events probably will not have a major impact on the Federal Reserve's reaction function. Our forecast for 50 bps of rate cuts this year remains unchanged. Similarly, we are not making any changes to our G10 or EM central bank forecasts at this time. In the very near term, we expect central banks around the world to remain in wait-and-see mode as they await additional clarity on the geopolitical situation.

Below, the Team responds FAQ style to some of the most common questions we have received in the past 72 hours on this topic:

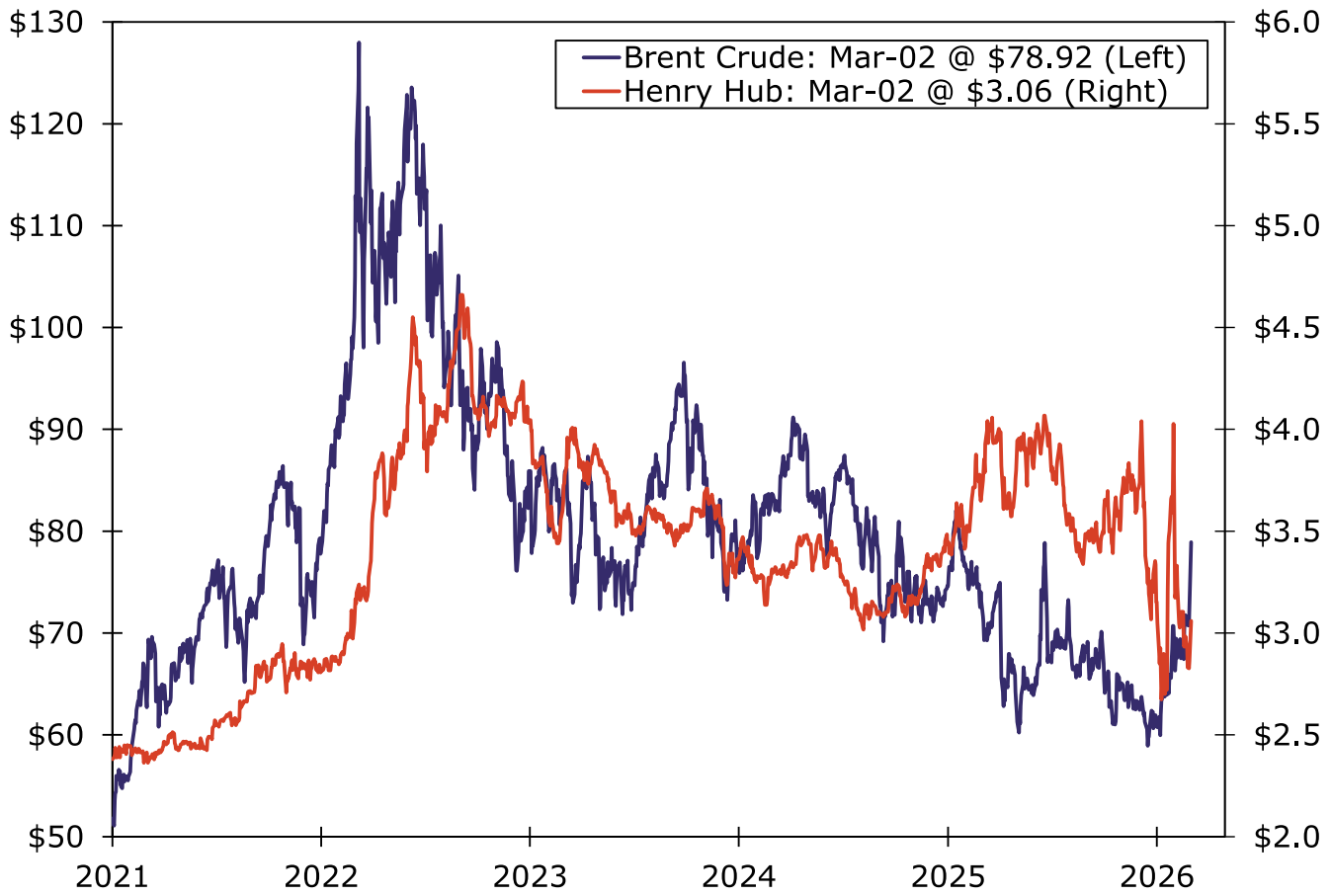
- [What happens to U.S. inflation in the wake of an oil-price shock?](#)
- [What does history say about consumer confidence sensitivity to energy spikes?](#)
- [How big of a hit could we expect an oil price shock to have on U.S. economic growth?](#)
- [Will a surge in commodity prices slow the U.S. tech build out?](#)
- [How will the Fed react to the conflict?](#)
- [Could more Fed easing be coming?](#)
- [How will foreign central banks respond?](#)

What happens to U.S. inflation in the wake of an oil-price shock?

- **Oil prices were already moving up over the past couple of weeks in anticipation of potential escalation**, but the price of Brent crude has risen \$7 since the U.S. strikes, or about 14% above its February average. Henry Hub natural gas prices are also up 6% in the wake of the strikes ([Figure 1](#)). **Higher oil prices would need to persist to meaningfully impact the U.S. economy**, as a sharp spike followed by a rapid normalization would not have much of an impact.
- To assess the potential U.S. macro impact from the military escalation, we run two scenarios: (1) a sustained 10% rise in Brent oil prices from a baseline expectation of around \$65/barrel on average in Q1, and (2) a larger, sustained 30% rise in oil prices, which is closer to the spike that occurred immediately following Russia's invasion of Ukraine in early 2022.
- **A 10% sustained rise in oil prices would add roughly 0.3 percentage point to the year-over-year rate of headline consumer price inflation in the second and third quarter of this year**, whereas a 30% rise would lift the one-year change closer to a full percentage point ([Figure 2](#)). The impact on core inflation would be much more modest (a few tenths with a 30% rise in oil prices) but not zero. This upward pressure on oil prices would reverse what has been one notable tailwind for disinflation and consumer spending over the past year; since last January, energy goods prices are down 7.3% compared to the 2.4% increase in headline CPI.

Figure 1

Oil and Natural Gas Prices

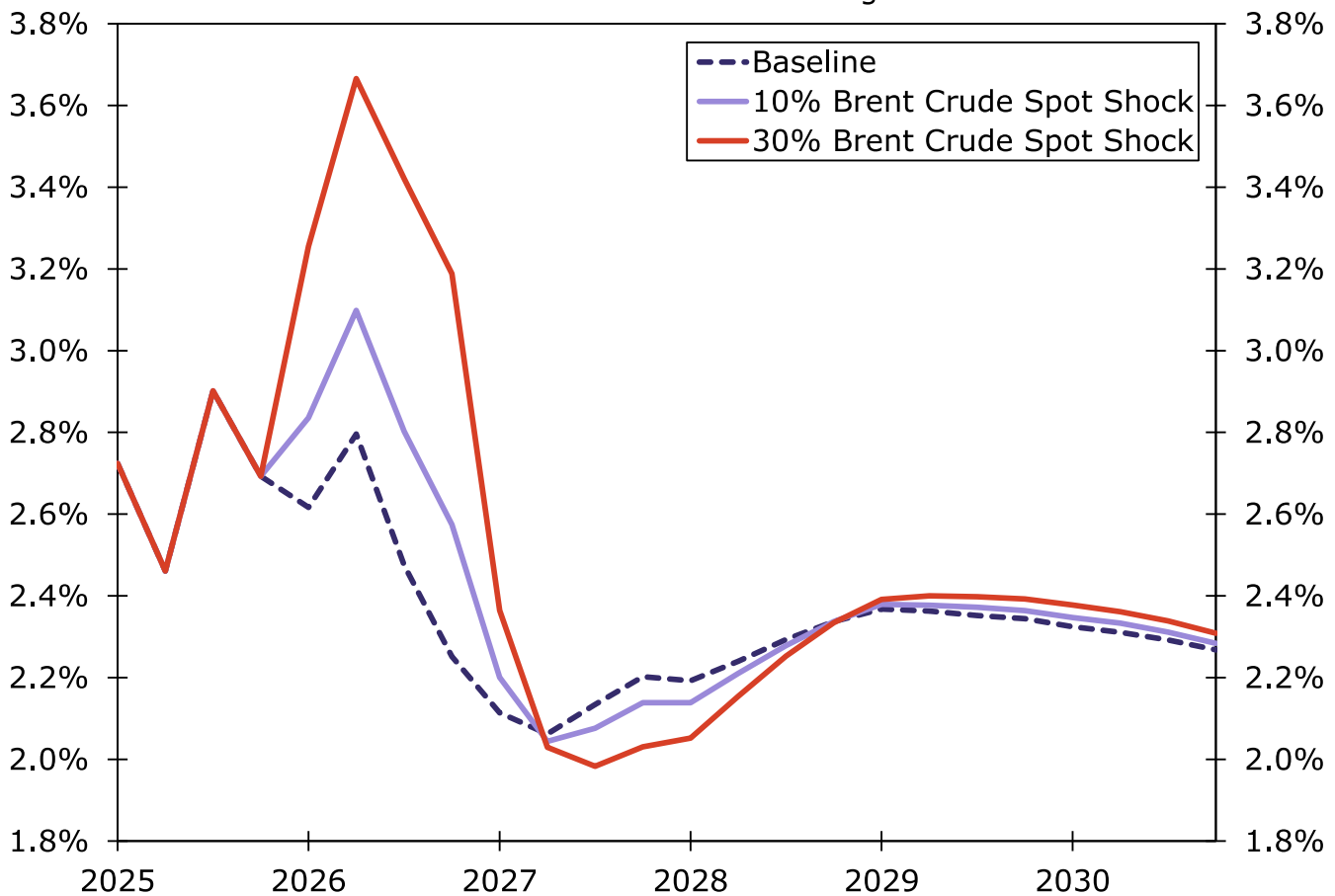


Source: Bloomberg Finance L.P. and Wells Fargo Economics

Figure 2

U.S. CPI: Iran Scenario Analysis

Year-over-Year Percent Change



Source: Oxford Economics and Wells Fargo Economics

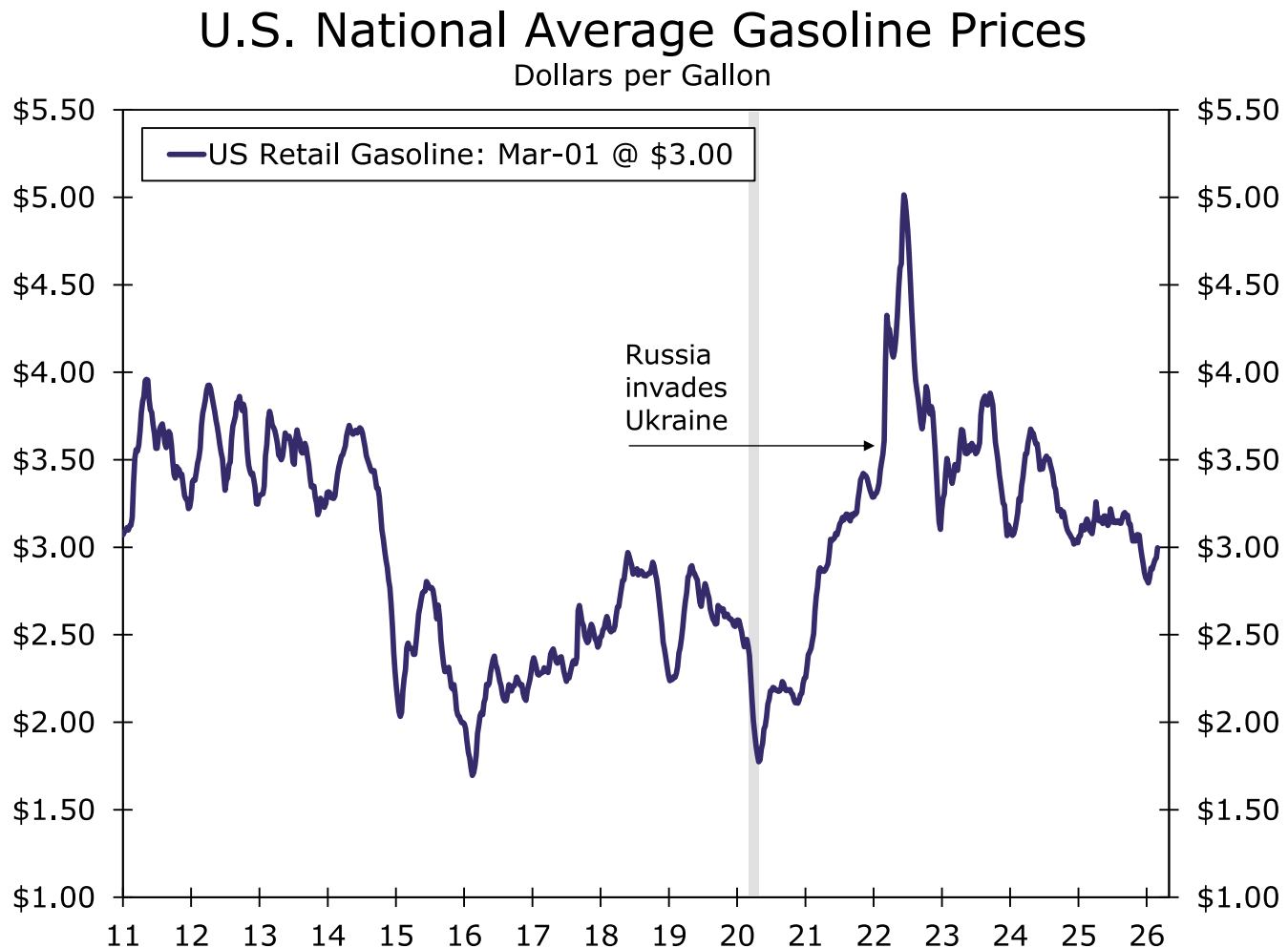
What does history say about consumer confidence sensitivity to energy spikes?

- **U.S. consumer confidence tends to correlate more strongly with jobs and inflation than foreign conflict headlines.** Of course, foreign conflict and inflation can also go hand in hand. That makes retail energy prices (mostly gasoline) the most important consideration for many households as it relates to this conflict. The average national price at the pump currently sits around \$3/gallon. In the immediate wake of Russia's invasion of Ukraine in February 2022, the average price initially jumped and remained elevated for around four months before receding ([Figure 3](#)). **In the end, the fate of pump prices and the consumer's reaction function will be dictated largely by any prolonged disruptions in the Strait of Hormuz.**

How big of a hit could we expect an oil-price shock to have on U.S. economic growth?

- **Our model simulations suggest a 10% rise in oil prices would dampen average annual U.S. GDP growth by a very modest 0.08 percentage points (pp) this year ([Figure 4](#)),** primarily through lower consumer spending with a 0.15pp reduction in real personal consumption expenditures growth. Business fixed investment spending actually rises modestly in this scenario, likely due to higher oil prices spurring some additional investment in domestic oil and gas production, which happened in the wake of Russia's invasion of Ukraine. Even in the 30% price-shock scenario, the hit to real GDP growth this year is only 0.23pp. **It takes very large and persistent gas price increases to meaningfully restrain household consumption.**

Figure 3

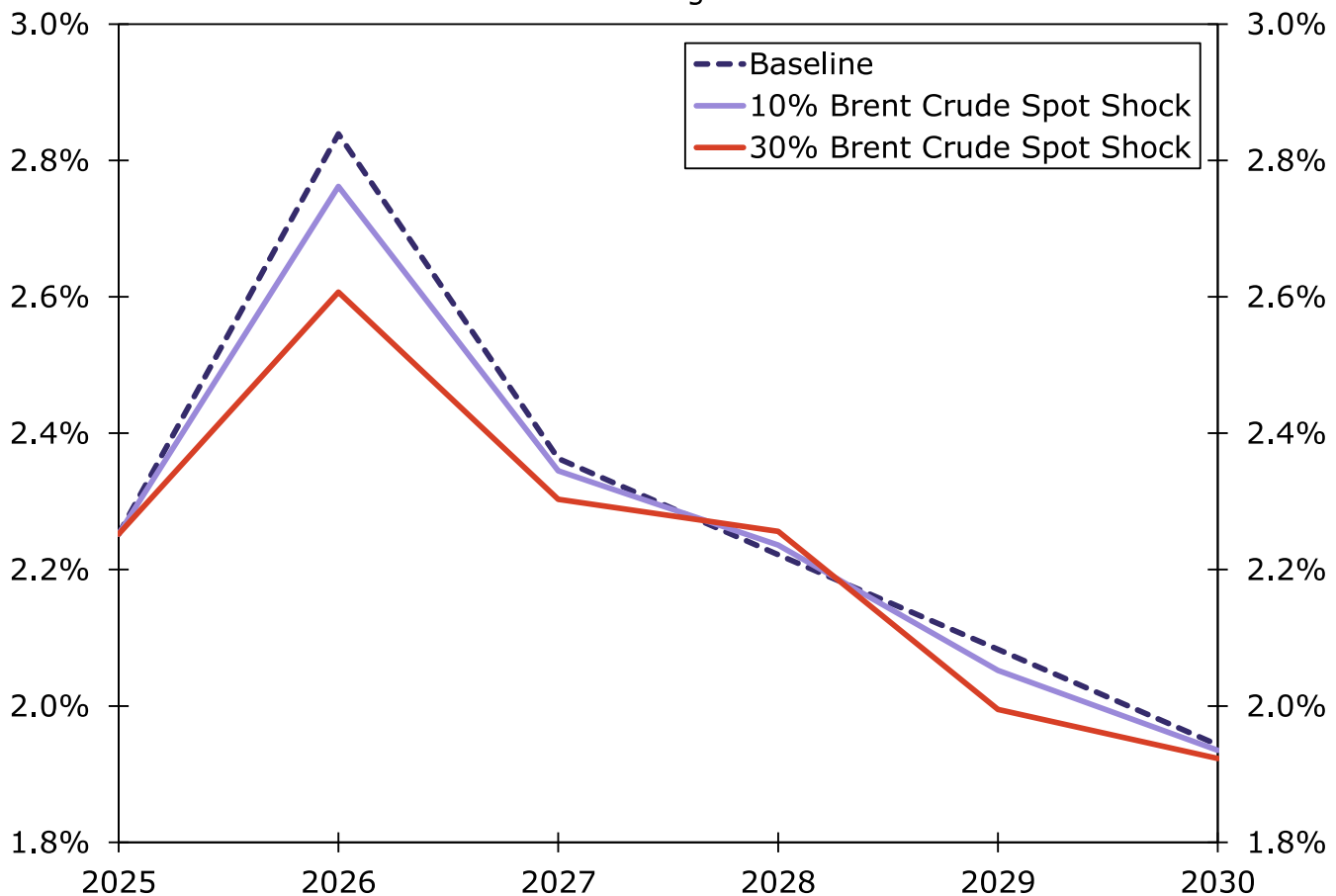


Source: AAA, Bloomberg Finance L.P., and Wells Fargo Economics

Figure 4

U.S. Real GDP: Iran Scenario Analysis

Annual Average Growth



Source: Oxford Economics and Wells Fargo Economics

Will a surge in commodity prices slow the U.S. tech build out?

- **A temporary spike in oil and gas prices will pressure input costs but not meaningfully limit the pace of new data center construction.** Higher energy commodity prices will likely flow through to building material and freight costs, representing a modest headwind to new development. Operationally, data centers are increasingly powered by natural gas, and while higher global LNG prices could have modest short-run negative cost implications, we generally do not see increased energy prices as a major limitation on new construction.
- **The tech buildout relies on other trade routes.** The Strait of Hormuz is a key energy chokepoint, but high-tech trade flows are minimal with the Strait of Malacca serving as the primary passage for global electronics, advanced chips, critical minerals and other inputs predominantly sourced from Asia. For the U.S., tech shipments from Asia are straight-shotted to West Coast ports or routed through the Panama Canal. **So long as supply disruptions are contained to Hormuz, the negative effects on high-tech capex should be limited.**

How will the Fed react to the conflict?

- **The weekend's events probably will not have a major impact on the Federal Reserve's reaction function.** A jump in oil prices would generate higher headline inflation, but this would be driven by a supply shock rather than overly hot aggregate demand. Accordingly, tighter monetary policy would do little to mitigate the hotter inflation and instead would further compound the hit to economic growth. **In short, a supply-driven oil price shock is a classic example of something most FOMC officials will attempt to "look through."**
- Key will be the behavior of inflation expectations. The Fed will likely be sensitive to any notable deviations from what have been well-behaved inflation expectations. But again, any unanchoring here would stem from prolonged conflict and persistently higher energy prices. If higher prices in the short-run start to lead to higher expected inflation in the future, the inflationary shock can become more persistent. In 2021-2022, inflation expectations rose abruptly across a broad range of measures, causing the FOMC concern that the higher inflation of the time may not prove to be transitory ([Figure 5](#)).

Could more Fed easing be coming?

- **We doubt more easing will be forthcoming than our base case projection of 50 bps ([Figure 6](#)).** We expect the impact on the U.S. economy from the conflict to be modest, and we think the FOMC will take the long view on this rather than knee-jerk react in a foggy environment. While we suspect the FOMC will want to "look through" higher inflation from a jump in energy prices, they also may be wary about adopting accommodative monetary policy given the past five years (and counting) of above-target inflation. **In the very near term, we expect the FOMC to remain in wait-and-see mode as they seek additional clarity on the geopolitical situation.**

Figure 5

Source: Federal Reserve System, Bloomberg Finance L.P. and Wells Fargo Economics

Figure 6

How will foreign central banks respond?

- Under our assumption that renewed military confrontation in the Middle East proves to be a temporary shock, international central banks are unlikely to adjust monetary policy paths all too materially. Similar to how we are thinking about the Fed, foreign central bank policymakers are likely to view the rise in oil and broader energy prices as a supply shock rather than a sharp upswing in demand. In that sense, pre-conflict guidance on rates is likely to remain in effect, and **we are not making adjustments to our G10 (Figure 7) nor EM (Figure 8) central bank policy rate forecasts**. At the same time, central banks will weigh the increase of geopolitical uncertainty on investor sentiment adding to existing downside risks to growth from trade and policy uncertainty. As such, **absent a more sustained disruption from the Middle East, we see greater asymmetry of global central banks to ease policy**.
- For advanced economy central banks where we forecast rate cuts prior to renewed conflict in the Middle East (e.g., Bank of Canada and Bank of England), our conviction in those calls is stronger, and we believe the balance of risk is now tilted toward more BoC and BoE easing than we currently forecast. Central banks where we felt the pre-conflict balance of risk was asymmetrically tilted toward restarting easing cycles (e.g., European Central Bank) may now have new rationale to lower rates. And in Japan, we already hold a less hawkish view on Bank of Japan rates than market pricing, a place we remain comfortable.
- **Emerging market economies are more exposed to events in the Middle East** and have more exposure to two-sided risks, but under the assumption of only temporary market disruptions, **we do not believe EM central bank preferences for rates are set to change**. Oil price shocks can be more impactful in EMs as energy tends to account for a greater share of CPI baskets relative to advanced economies. But if energy price rises are temporary, a transitory disruption to disinflation trends can also be shrugged off by EM policymakers. Also, and while not unique to EMs, local currency depreciation and the subsequent pass-through to prices is more of a risk in EMs. For now, EM currencies are under only modest pressure, which for us, is not enough to generate less dovish or more hawkish postures from major EM central banks. Even in a scenario where EM FX depreciation is more intense or longer-lasting, EM currencies have rallied over the past 12–18 months. Baked in currency strength offers central banks a degree of flexibility to maintain easing biases, or at least not rush to communicate rate hikes, going forward.

Figure 7

Source: Bloomberg Finance L.P. and Wells Fargo Economics

Figure 8

Source: Bloomberg Finance L.P. and Wells Fargo Economics

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All estimates/forecasts are as of 3/2/2026 unless otherwise stated. 3/2/2026 10:28:36 EST.

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